THE CURIOUS COMPOUNDER

Intercontinental Exchange (ICE): Inside the ICE House

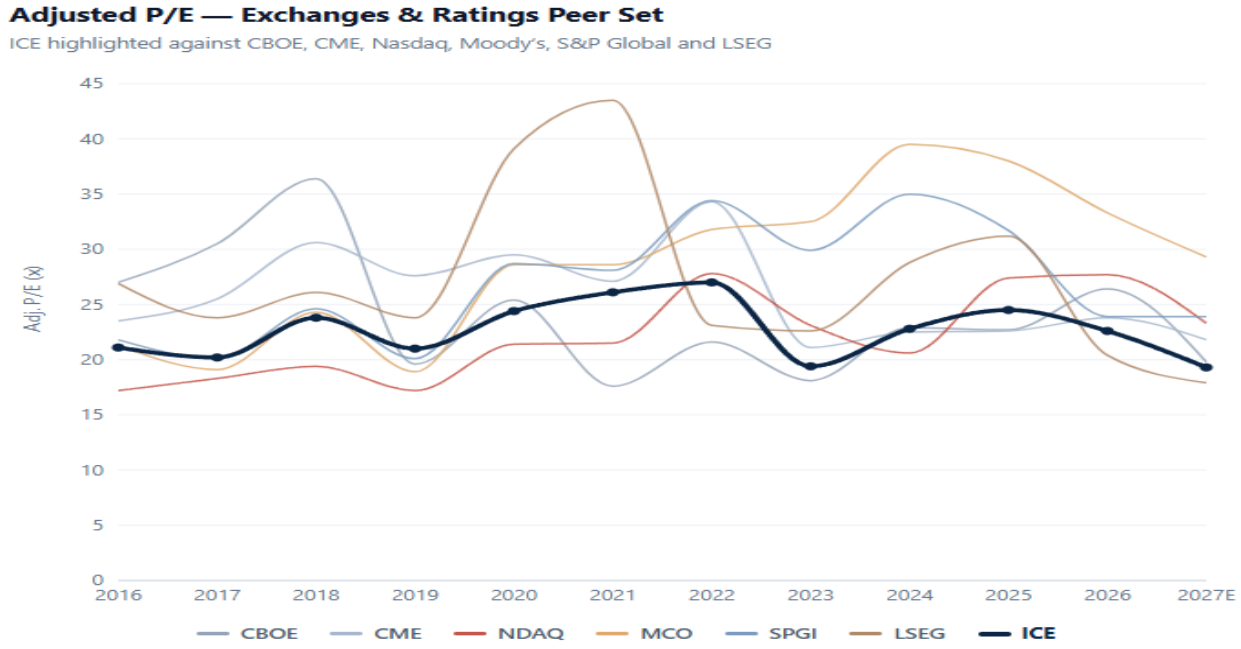
Share Price: $157 Mkt Cap: $86,000m ADV: $700m

How liquidity, regulation and technology have driven 25 years of compounding

Intercontinental Exchange (ICE), under the leadership of its founder and CEO Jeff Sprecher, has built a rare combination of financial-infrastructure assets. Its Exchanges business benefits from a high-margin, self-reinforcing liquidity moat; Fixed Income & Data Services provides sticky, recurring data and workflow revenues; and Mortgage Technology offers exposure to the structurally growing digitisation of the US mortgage market, albeit at lower margins. Together, these three businesses give ICE a valuable mix of transaction-driven revenues, recurring subscriptions and long-term structural growth.

Two of these three franchises have also benefited materially from regulation. In the aftermath of Enron, the financial crisis and the LIBOR-rigging scandal, regulators repeatedly pushed activity towards centralised, transparent and well-capitalised infrastructure providers, reinforcing the advantages of scale and incumbency. The key question for investors today is whether that pattern still holds, or whether prediction-market operators such as Kalshi represent a genuinely different threat - one capable of building liquidity without regulation forcing flow in its direction.

That uncertainty is now reflected in the valuation. ICE's shares have derated relative to exchange and ratings peers over the last five years and now trade at around 18x 2027 earnings, a 10–20% discount to the peer group.



Source: ShareScope

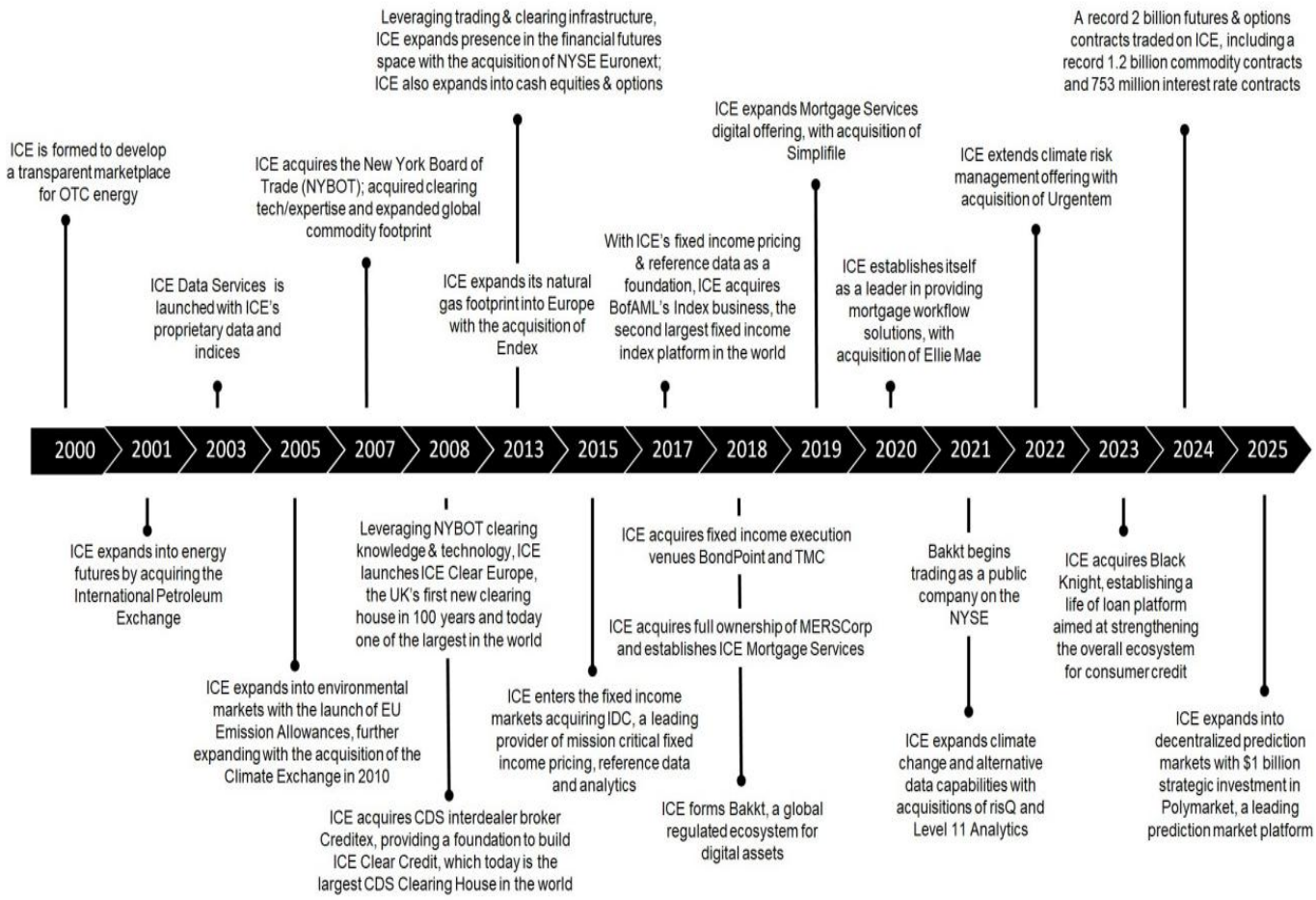
Part of that discount reflects scepticism around the returns on its $24bn investment in Mortgage Technology and concern over new forms of competition. Yet ICE has still compounded adjusted EPS at around 10% a year over the last decade despite the brake on earnings growth from the investment in Mortgage Technology. If its core exchange and data franchises continue to grow, Mortgage Technology begins to earn an acceptable return on the capital invested, and the threat from perpetual futures proves manageable, the current discount looks increasingly difficult to justify.

Disclosure: I may own some of the shares mentioned in this article. This note should not in any way be construed as financial advice. The purpose of The Curious Compounder is to inform subscribers about companies which I find interesting. I'm grateful for all feedback, especially any negatives or bear points that I may have missed.

Overview

In 2000, Intercontinental Exchange ("ICE") was founded by Jeff Sprecher with the idea of transforming energy markets by creating a network that removed barriers and provided greater transparency, efficiency and access.

Since the original foray into energy and power markets, ICE has layered on a series of acquisitions, which have provided platforms upon which new products may be traded. These platforms such as the International Petroleum Exchange (2004), New York Board of Trade (2007) and New York Stock Exchange (2013) have often needed significant investment to allow them to compete more effectively and form part of Jeff Sprecher's ethos to use technology to make processes and markets faster and more efficient.



The result is that ICE has evolved from an electronic marketplace for energy contracts into one of the world's leading financial-infrastructure companies, spanning futures and equities exchanges, clearing houses, fixed-income data and analytics, and technology supporting the US mortgage industry. Its growth is increasingly driven not only by rising

trading and clearing activity, but by recurring revenues from data, workflow tools and the continued digitisation of mortgage origination and servicing.

History and Origins

"Since our founding over twenty years ago, ICE has steadfastly adhered to our founding principle, demonstrated throughout our history, that applying technological innovation and digitization to traditionally analog businesses can make markets more efficient and transparent for all participants"

Jeff Sprecher, Founder, Chairman & CEO

To understand the continued expansion of Intercontinental Exchange (ICE), it is important to understand Jeff Sprecher's, background as an engineer. Long before starting ICE, Sprecher was a practical tinkerer who spent his childhood taking machines apart in his parents' garage to work out how to rebuild them better. It was natural with this obsession for systemic optimisation that he would go on to study chemical engineering at the University of Wisconsin-Madison in 1978, later adding an MBA from Pepperdine in 1984. This blueprint, combining an engineer's instinct to fix broken machinery with a businessman's eye for market efficiency, embodies the same problem-solving framework that ICE uses to disrupt global markets today.

Sprecher began his career at Trane as a salesman and engineer, designing thermal-energy storage systems. While working there, he made a pitch to a local entrepreneur, William Prentice, who was developing power plants. At this point in the early 1990s, the United States was in the early stages of energy deregulation, a shift that allowed independent, non-utility power producers to generate and sell electricity back to the grid. Prentice was impressed enough by Sprecher's structural understanding of the evolving industry that he hired him into his company, Western Power.

The thousand dollar bet

Sprecher's experience building natural gas power plants during this era exposed him firsthand to the highly inefficient, manual, and phone-based way energy contracts were traded. In 1996, he saw an opportunity to change this through the acquisition of Continental Power Exchange (CPE), an Atlanta-based electronic platform owned by MidAmerican Energy. The debt-laden MidAmerican had already invested $35 million developing a digital power trading exchange, with the goal of replacing legacy phone

trading with an automated matching system. In an effort to staunch its growing losses, MidAmerican accepted Sprecher's offer to buy CPE for just $1,000, plus assumption of its debt.

Sprecher quickly realised that although he now owned a potentially great asset, he needed to rapidly increase the exchange's utility for both electricity suppliers and users to make it viable. He spent the next four years completely rebuilding the underlying the exchange's technology and courting potential market participants. He reasoned that instead of keeping all the economics for himself, he could create a win-win scenario by bringing in strategic partners directly incentivised to use the exchange. The primary obstacle was inertia: the potential users of his exchange were perfectly comfortable doing business the way they always had.

Eventually, after over 100 meetings with banks and corporate entities, Sprecher persuaded Goldman Sachs and Morgan Stanley to become anchor customers. Once these Wall Street giants were on board, he was able to build an elite consortium of strategic partners, including BP, Total, Shell, Deutsche Bank, and Société Générale. The pitch to them was simple: Sprecher was willing to give away 80% of his equity in the business to these founding partners in exchange for a strict commitment to route their trading flows through the platform. This strategy would inject the liquidity needed to attract other market users, creating a powerful and self-sustaining network effect. Backed by this consortium, the business rebranded and officially launched as Intercontinental Exchange in May 2000.

Fortune favours the neutral intermediary

The bet paid off faster than even Sprecher hoped due to an extraordinary twist of historical serendipity. Enron, a natural gas pipeline operator rapidly moving into trading, had spotted the same inefficiencies in the deregulating power markets and was dominating electronic trading in wholesale energy via its own proprietary platform, EnronOnline. Following an article in Fortune magazine in March 2001, public scepticism mounted around Enron's opaque financial reporting, eventually triggering a fatal liquidity crisis that autumn. When massive hidden debts were revealed in October 2001, panicked counterparties halted trading due to escalating credit risk, and volumes migrated at breakneck pace away from EnronOnline and into ICE's neutral, multi-party marketplace.

The aftermath of the Enron scandal, and the regulation enacted in its wake, proved a permanent boon to ICE's business model. Enron's collapse wiped out $74 billion in shareholder capital and left unsecured creditors facing an estimated $40 billion in losses. Regulators and market participants, chastened, demanded a venue that acted purely as a neutral intermediary rather than a trading counterparty with its own hidden book, a role ICE's centralised agency-based model was already fulfilling.

The day the voices fell silent

Not content to sit on its laurels, ICE acquired the International Petroleum Exchange (IPE) in mid 2001 for $130m. The IPE was an antiquated open-outcry venue where crude oil, particularly Brent, was traded by floor traders shouting out offers to buy or sell and indicating the desired size with a complex system of hand signals.



Source: Seattle Times

IPE's management had already recognised that the future lay in electronic trading, but many of its floor traders, brokers and member firms were less enthusiastic because the greater efficiency of electronic trading threatened jobs and existing sources of income. As they say, turkeys don't vote for Christmas. ICE's achievement was to secure the support of IPE's management and shareholders for the acquisition and then manage a gradual transition, initially operating electronic trading alongside open outcry before finally closing the trading floor on 7th April 2005.

The IPE was subsequently renamed ICE Futures in October of the same year and ICE went public a month later. Naturally, Goldman Sachs and Morgan Stanley, the original backers of the Continental Power Exchange were lead underwriters. The shares floated at $26 ($5.20 each adjusted for the 5 for 1 stock split in 2016) giving ICE a market capitalisation of $1.4bn.

There is a case study later in this note showing the sustained growth in the ICE's Energy futures and options business to this day, initially built around the Brent crude benchmark, but expanded into new products and into new geographies.

Friends for LIFFE

By 2011 ICE had continued to prosper and had consolidated its position in energy, agricultural and credit derivatives, but it lacked a major position in interest-rate futures, the largest segment of global derivatives trading. The prize that Sprecher desired most was the London International Financial Futures and Options Exchange or 'LIFFE', whose European interest-rate futures would fill the largest remaining gap in ICE's derivatives portfolio. ICE had first attempted to acquire LIFFE in 2011 through a joint counterbid with Nasdaq for LIFFE's owner NYSE Euronext (New York Stock Exchange Euronext). The deal proposed ICE taking NYSE Euronext's derivatives operations while Nasdaq would acquire its cash-equity and listings businesses. The proposal was withdrawn after US regulators objected to the proposed combination of Nasdaq and the NYSE on antitrust grounds.

The opportunity re-emerged after the European Commission blocked NYSE Euronext's planned merger with Deutsche Börse in February 2012 because it would have combined LIFFE and Eurex, the two dominant European financial-derivatives exchanges. Left without a partner, NYSE Euronext began reviewing alternatives, including a break-up or sale. ICE returned later that year with an offer for the entire company. Because ICE's businesses were largely complementary to NYSE Euronext's, the transaction faced fewer competition problems.

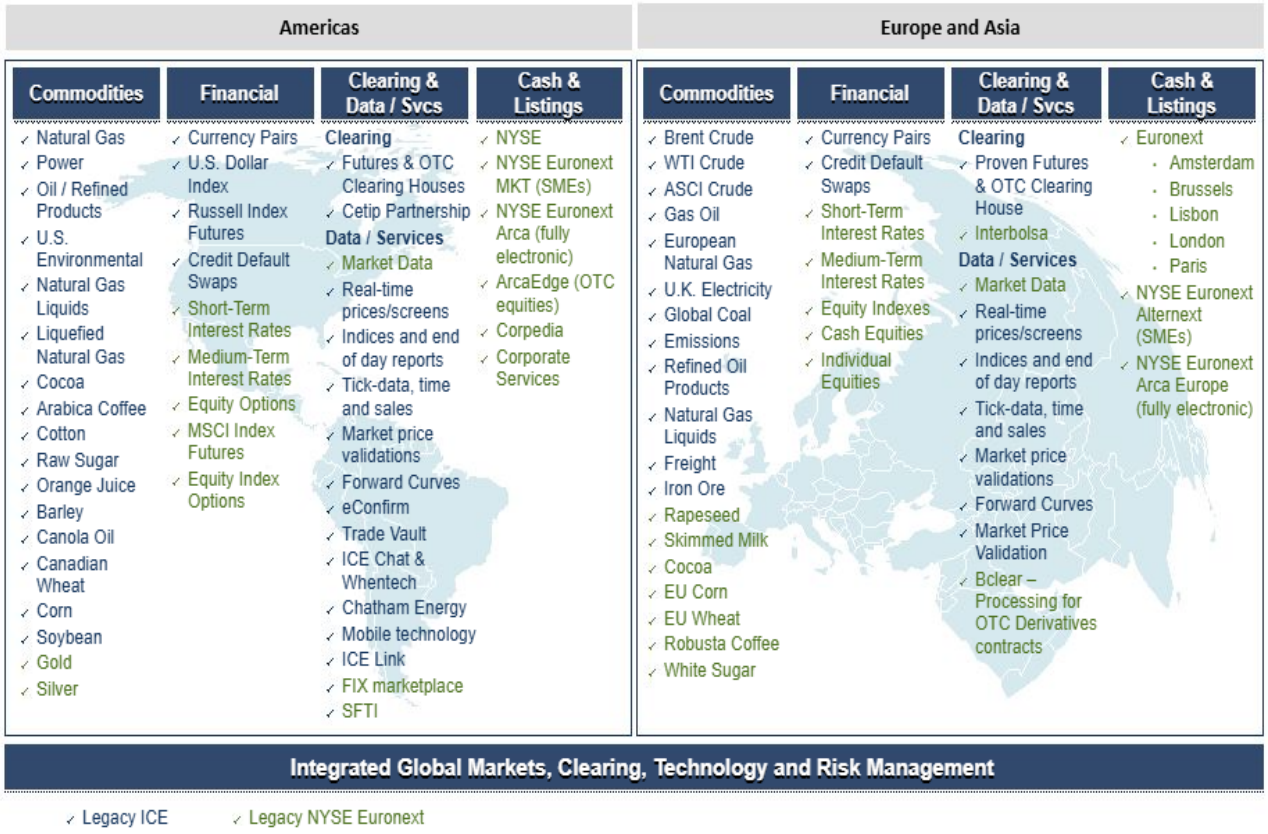
The market immediately saw the $11bn deal as a good one for ICE, such that the stock element of the consideration, which was originally valued at $5.4bn when the deal was first announced, had risen to $8.3bn by the time it closed in November 2013. Relative to ICE's pre deal $12bn market cap, it was a big transaction. ICE retained LIFFE and the NYSE, migrated LIFFE onto its trading and clearing infrastructure, and subsequently floated the continental European Euronext exchanges as an independent company, generating $2.1bn of net proceeds.

Parallels

Like the acquisition of the International Petroleum Exchange (IPE) in 2001, the acquisition of the New York Stock Exchange (NYSE) and LIFFE brought ICE a huge amount of credibility. In IPE and NYSE's case both were established venues, with NYSE boasting a 200 year history of institutional credibility, but both were well behind the technology curve. At acquisition IPE was still using open outcry, while NYSE had a complicated and outdated technology stack. ICE had to replumb the NYSE's technology while not taking the exchange offline during trading hours, a process that took over six years of hard work.

LIFFE was arguably the real jewel in the crown of the NYSE Euronext acquisition because it gave ICE something much harder to build from scratch than the NYSE brand: a large, entrenched pool of derivatives liquidity, particularly in European interest rates.

Before the deal, ICE was already very strong in energy and commodities. What it lacked was a major position in financial futures. LIFFE changed that immediately. Its contracts included some of the most important European short-term interest-rate futures and options, giving ICE a substantial franchise in rates and turning ICE Futures Europe from primarily an energy exchange into a multi-asset derivatives platform spanning energy, commodities, interest rates and equity derivatives.



Source: ICE / NYSE Euronext acquisition presentation

Exchanges and clearing houses

It is worth taking a moment to describe the roles that exchanges and clearing houses play within the financial system.

Exchanges are marketplaces that bring buyers and sellers together so they can trade financial products under a common set of rules. These may include shares, options and futures, as well as commodity contracts linked to physical products such as oil, natural gas and grains. The exchange provides the venue and technology that matches buy and sell orders. Unlike the old open-outcry system, electronic trading is much faster, cheaper and more transparent, with market participants able to see the prices and quantities available in the order book. Liquidity is paramount in running a successful exchange because liquidity attracts liquidity: the more participants and orders there are, the easier it becomes to trade, typically resulting in tighter bid-offer spreads and the ability to transact in greater size without materially moving the price.

Once a contract or share has been transacted on an exchange, the trade still needs to be cleared. A clearing house sits between the buyer and the seller and makes sure the trade is completed, even if one side fails to meet its obligations. So although you may think you are selling a share or a futures contract directly to another market participant, once the trade is cleared the clearing house effectively becomes the buyer to every seller and the seller to every buyer.

The clearing house manages this risk by requiring clearing members to post collateral, or margin, and by regularly settling gains and losses as market prices move. In 2025 clearing members on ICE's exchanges posted collateral amounted to $82.6bn, of which $72.9bn was in US Treasuries. This greatly reduces counterparty risk and helps prevent the failure of one participant from spreading through the wider financial system. ICE also contributes its own capital, which it describes as "skin in the game", and which can be called upon if the collateral and guaranty-fund contribution of a defaulting member prove insufficient. Customer cash collateral held by ICE appears as an asset on its balance sheet with an equal and offsetting liability owed to the clearing member, so while it significantly enlarges the reported balance sheet, it does not represent ICE's own economic capital.

Exchanges typically charge a fee for each trade executed, while clearing houses charge a fee for each transaction they clear, making both attractive toll-taking businesses within the financial-market infrastructure. Both have largely fixed cost bases, so the greater the volume flowing through each platform the more that drops to the bottom line. This can be shown clearly when looking at the Exchanges division. Revenues have grown at 7% CAGR over the last 7 years, but operating expenses have only inflated at 4% CAGR over the same period. The difference has hit the bottom line with the Exchanges operating margin expanding from 66% in 2018 to 73.6% in 2025.

ICE's pivot into data and analytics

As much as trading and transaction revenues were powering the growth in ICE's revenues, in an individual quarter or within a category they could be volatile. Sprecher's next move was to build a substantial financial data and analytics business, reducing ICE's reliance on transaction revenues and trading volumes. ICE acquired SuperDerivatives for $350m in 2014, adding derivatives pricing, valuation and risk-management tools, before completing the transformational $5.2 billion acquisition of Interactive Data Corporation in 2015.

Interactive Data gave ICE a major position in fixed-income pricing, reference data, evaluated bond prices and market feeds, while also increasing the proportion of recurring subscription revenue. ICE then expanded the business through acquisitions in bond indices, execution venues and analytics, creating the foundations of today's Fixed Income and Data Services division, which contributed 20% of ICE's operating profits in FY25.

The Fixed Income and Data Services division will be augmented by the intended acquisition of MarketAxess for $5.7bn, which was announced in August 2026. The MarketAxess transaction will bring a foothold in institutional electronic fixed income trading (80% revenues), an area where it was previously absent and will add data analytics subscriptions and post-trade compliance reporting (20% revenues). MarketAxess's predominantly trading revenues will push the balance of Group revenues back in favour of transaction revenues, to approximately 51%, compared to 49% from subscription on a pro forma basis.

Recurring vs Transactional : Split of revenues by division (%)

	2020	2021	2022	2023	2024	2025
Exchanges						
Recurring revenues	34%	34%	34%	32%	29%	28%
Transaction revenues, net	66%	66%	66%	68%	71%	72%
Fixed Income & Data Services						
Recurring revenues	85%	87%	81%	78%	80%	81%
Transaction revenues, net	15%	13%	19%	22%	20%	19%
Mortgage Technology						
Recurring revenues	26%	39%	57%	73%	77%	75%
Transaction revenues, net	74%	61%	43%	27%	23%	25%
Group						
Recurring revenues	**48%**	**49%**	**51%**	**52%**	**52%**	**51%**
Transaction revenues, net	**52%**	**51%**	**49%**	**48%**	**48%**	**49%**

Mortgage Technology

From 2016, ICE took a surprise step outside its traditional exchanges, clearing and data services verticals and began building a third vertical in US mortgage technology. It acquired MERS, followed by Simplifile in 2019, Ellie Mae in 2020 and Black Knight in 2023 for a combined $24bn. Together, these businesses give ICE technology and data across much of the mortgage workflow, from loan origination and closing through registration and servicing. ICE has therefore evolved from an energy exchange into a financial-infrastructure group with three principal pillars: exchanges, fixed-income data and mortgage technology.

There is a case study regarding the Mortgage Technology business later on.

Regulation as a common thread

Reading ICE's history, annual reports, and press coverage, a pattern becomes hard to miss: how deeply regulated ICE's markets are, and how central that regulation has been to its success. Regulation brings the obvious challenge of compliance and constraints on bringing new products to market, but it also erects barriers to entry against competitors, particularly where ICE is already the incumbent as legislation changes.

High-profile collapses or scandals like Enron, the 2008 financial crisis or LIBOR rigging have consistently brought tightened regulation, as politicians and oversight bodies vow "this will never happen again." In each case, regulators have tended to mandate centralisation of markets to increase transparency and impose stricter rules. For a provider of market trading infrastructure, this has been music to ICE's ears, and the pattern recurs across at least two of ICE's three segments:

Exchanges and clearing

The Dodd-Frank Act was passed in 2010 in the US following the Enron debacle and subsequently mimicked in Europe in 2012 with the European Market Infrastructure Regulation rules. The Dodd-Frank Act stipulated that bilateral, uncleared over-the-counter derivatives, such as index and single-name credit default swaps, could no longer be executed privately. In a fell swoop, Dodd-Frank legally mandated that these multi-trillion-dollar transaction volumes must be executed on regulated, transparent venues and cleared through central clearinghouses. This legal requirement effectively funnelled the world's most lucrative derivatives markets directly onto the trading and clearing infrastructure that ICE had spent a decade perfecting, cementing the company's status as an indispensable pillar of global financial architecture.

Fixed Income and Data Services

The same logic played out differently following the London Inter Bank Offer Rate (LIBOR) rigging scandal. LIBOR was the refence interest rate upon which a vast swathe of financial products such as mortgages, corporate loans, student loans, floating-rate bonds, and the majority of interest rate derivatives were priced. Derivatives traders at Barclays, UBS, Royal Bank of Scotland and Rabobank colluded to manipulate the LIBOR rate between 2010 and 2012, which benefitted their own trading positions but had much wider consequences as trillions of dollars of assets were priced off LIBOR.

The Wheatley Review was commissioned in 2012 to review the failings of the LIBOR rate setting activities. It ordered that the LIBOR benchmark administration, which had previously been run informally by the British Bankers' Association on an honour-system basis, itself become a licensed, heavily governed activity. The Hogg Committee's selection of ICE to take over LIBOR administration in 2014 reflected the kind of scale and regulatory credibility that a stricter compliance regime favours over smaller or less-resourced operators.

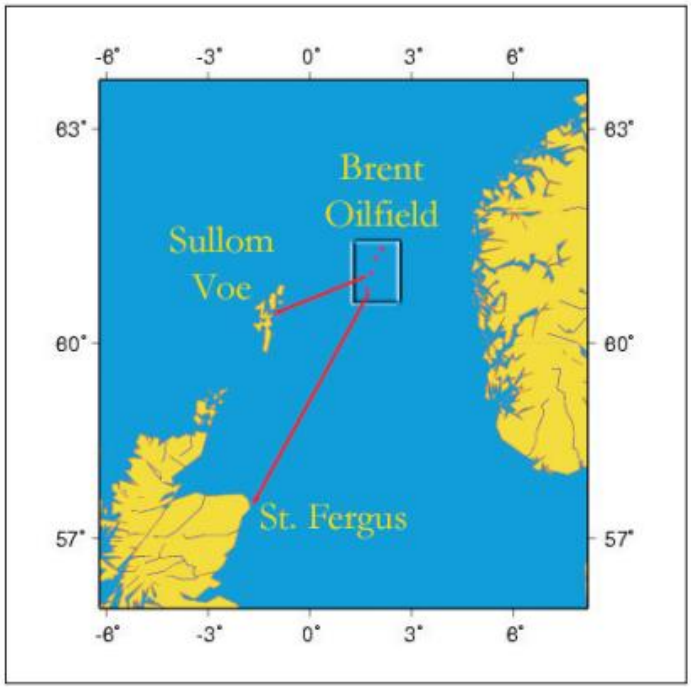
A common thread runs both examples and extends into other parts of the ICE empire. Regulation has not created ICE's businesses, but has repeatedly reshaped market structure in ways that favour scaled, well-capitalised incumbents with existing regulatory relationships over new entrants. In the Risks section later in this note we cover the growth of prediction markets and their move into perpetual futures and question whether companies like Kalshi can build a comparable moat *without* a regulatory mandate forcing the market toward them.

Case Study: Energy Futures and Options

ICE's first major acquisition was the International Petroleum Exchange (IPE) in 2001. Although it was probably not recognised at the time, it was significant because it did not just add a trading venue. It also brought ICE ownership of the Brent Crude futures contract, the world's most widely referenced oil benchmark. Using the IPE as the foundations, ICE has built its Exchanges energy franchise.

At the end of the 1970s, the crude oil market was shifting away from OPEC-administered official selling prices toward spot pricing, creating the need for a market-based reference price. The light, sweet, low-sulphur crude from the giant Brent field, then the largest and most actively traded North Sea stream, was chosen as that reference.

The Brent oil field's North Sea location



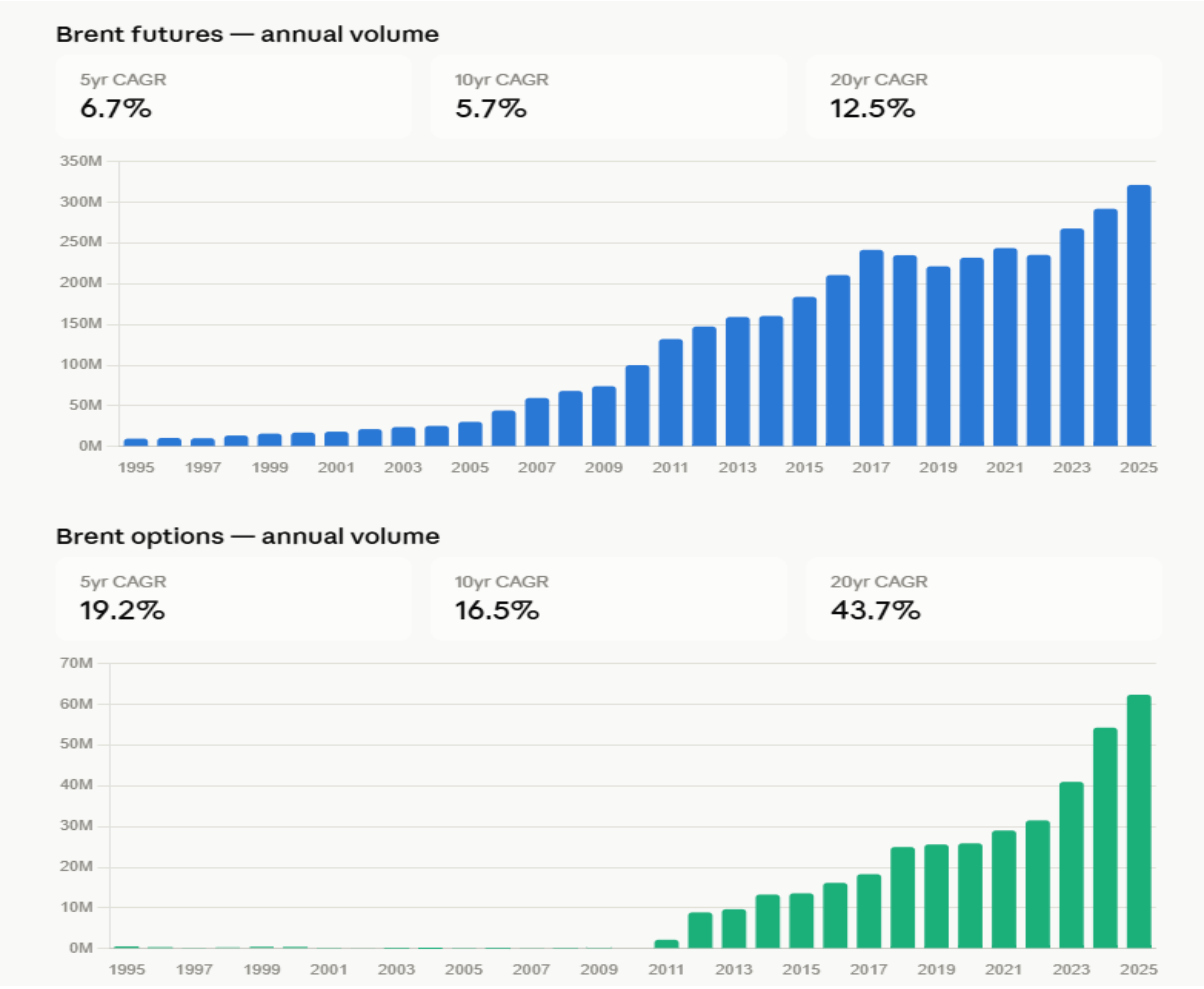
Source: www.ice.com/publicdocs/ICE_Crude_Oil.pdf

As with all oil fields, Brent's output eventually declined from its 1982 peak. Rather than let this erode the benchmark's liquidity, the pricing agency S&P Global Platts progressively widened Brent into a basket blend of North Sea grades: adding Forties and Oseberg in 2002, Ekofisk in 2007, and Troll in 2018. This continual broadening allowed Brent to stay ahead of its own depletion and remain the world's dominant crude benchmark, still pricing roughly two-thirds of internationally traded crude oil today.

Brent is the reference against which most non-US crude, including the bulk of OPEC's own exports, is contractually priced as a differential (Brent plus or minus an amount). Since the

IPE launched Brent futures in 1988, the derivatives or "paper" market has grown to dwarf the physical market it is based on. This scale has helped Brent consolidate dominance over rival regional benchmarks such as WTI in the US, Dubai for Gulf/Asian sour grades, or Bonny Light for Nigerian exports. Once a benchmark reaches such financial critical mass, switching costs across the industry, contracts, hedging books and refinery pricing formulas become prohibitively high, reinforcing its advantages. This is the same liquidity dynamic seen in the Exchanges division above, playing out in a single flagship product.

Brent crude futures and options volumes, 20-year history



Source: ICE.com

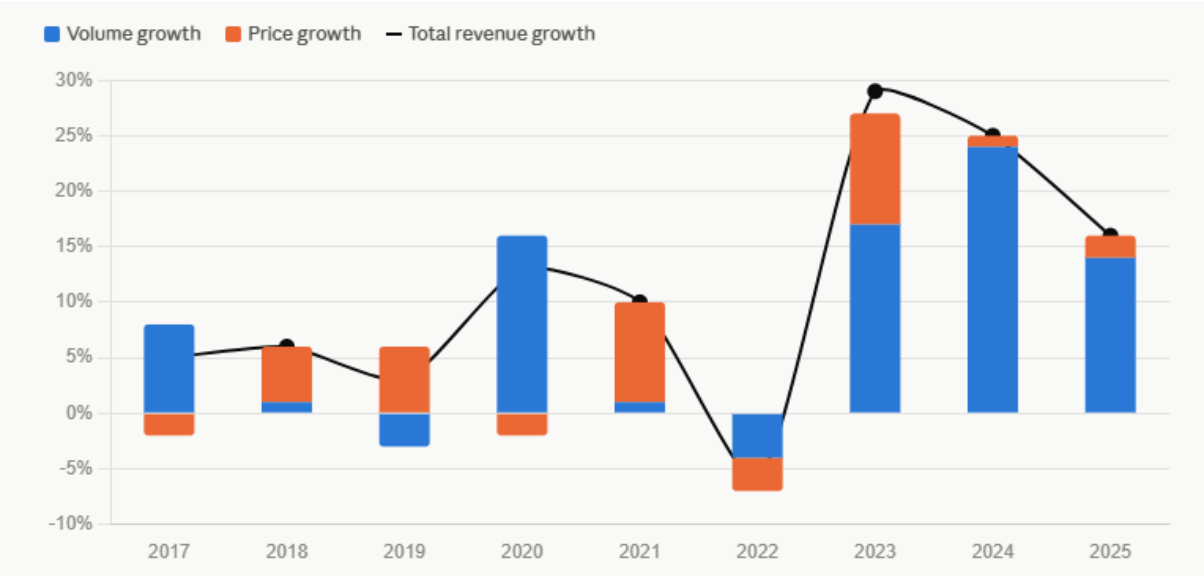
What is amazing is that Brent crude futures and options volumes (as seen in the charts above) have continued to grow strongly over the last five and ten years in a world that is looking to deprioritise the use of fossil fuels.

It is not just in Brent Crude futures and options where ICE has played significant developmental role. ICE has grown the whole energy futures and options complex over the last quarter of a century. When ICE acquired the IPE in 2001, it had just four traded

products, using the old open-outcry system. Today, ICE has built out into adjacent energy markets including natural gas, electricity and coal, as well as developing regional variants. More recently added it has energy-transition products, taking its energy complex to over 1,000 products. This proliferation was also enabled by the 2005 decision to cease open-outcry trading in favour of electronic trading, which increased trading speed and market depth, attracting more users.

Growth in Energy Futures and Options has continued almost unabated over the last nine years, with an 11% revenue CAGR. The predominant driver is still volume, growing at an 8% CAGR, while price, helped by uptake of newer, higher-margin products, has grown at just under 3% p.a. This illustrates the power of product innovation combined with the self-reinforcing nature of liquidity in trading markets.

ICE Energy futures and options volume and price growth 2017-2025



Source: Intercontinental Exchange Annual Report and Accounts

The outlook for energy futures and options demand does not appear any less constructive. New energy products will continue to be developed as governments, producers, and consumers pursue sustainability and diversify energy needs, while a volatile geopolitical environment increases the need for hedging and risk management. ICE appears well positioned to capitalise on this, though the extent to which that position is challenged by new entrants is precisely the question taken up in the Risks section below.

Case Study: Mortgage Technology

The assemblage of the Mortgage Technology division started in 2016 with the acquisition of minority stake in Mortgage Electronic Registrations Systems, Inc (MERS). It was built over the next ten years through a series of transactions. Today, Mortgage Technology accounts for 24% of ICE's net revenue and boasts around a 45% share of US loan origination. ICE estimates that 90% of all mortgages touch its software at some point in their journey. It mimics the playbook we have seen elsewhere in ICE. Find a problem in financial services due to outdated operating processes and look to solve it with technology.

Sprecher originally got into corporate bond market trading, the cash market for corporate borrowing. He soon recognised the opportunity in the equivalent cash market for consumer borrowing: mortgages. The US mortgage origination market is highly bureaucratic, making the process for getting a UK mortgage look simple by comparison.

A typical US home buyer deals with a mortgage broker or lender, a separate title company, a title insurer, sometimes a private mortgage insurer (if putting down less than 20%), an appraiser, and often a separate escrow/settlement agent. Each stage has its own fees, disclosures, and timelines. Adding to the complexity, most US mortgages carry a 30-year fixed-rate term, versus 3–5 years in the UK. Most lenders don't want capital tied up that long, given the interest-rate risk of holding long-duration debt, so as long as a loan is "conforming," lenders can sell it almost immediately to Fannie Mae or Freddie Mac. These are two huge Government Sponsored Enterprises, who buy conforming mortgages and repackage them into mortgage-backed securities which may be sold to investors.

To qualify as conforming, a loan must meet strict underwriting criteria set by Fannie Mae and Freddie Mac: loan-size limits, debt-to-income ratios, and creditworthiness thresholds based on a FICO score (adopted as the mortgage-industry standard in 1995). Borrowers must supply extensive documentation: proof of income, multiple years of tax returns, bank statements, employment verification etc. This is necessarily a bureaucratic process since the loan needs to be easily packaged and sold on to investors and therefore leans heavily toward standardisation.

The whole process may take an individual around two months. Although the application may be online, the back-office workflow is often still paper-based. Some lenders still print the application, scan it into a PDF and route it manually between departments. There are no common data standards between lenders, and in most states each application needs a wet signature. The documents are then placed in a barcoded box and sent to storage. To Sprecher and his team, used to running complex databases, this felt antiquated and highly inefficient.

Sprecher's thesis is that as the process becomes more efficient, the number of financial products dependent on it will increase, alongside a tangible consumer benefit. One example is mortgage pricing: there is often a 60–90 day lag between an interest rate being set on a mortgage and it being drawn down. In the interim, the mortgage's interest rate, typically priced off the 10-year Treasury yield* plus a spread reflecting creditworthiness, loan-to-value, and deposit size, is likely to move, and lenders also price in the expected volatility of the 10-year Treasury over that intervening period. Sprecher's belief is that as origination speeds up, this will be reflected in tighter mortgage pricing and greater volumes.

**The expected economic life of a mortgage, although nominally a 30-year term, is typically around 7–10 years as borrowers refinance or move home — hence why mortgages are priced off the 10-year Treasury.*

The virtuous circle

The pattern of lower pricing driving higher volumes recurs across financial services whether it is Wise in international transfers or Robinhood's commission-free trading. Volume continues to coalesce around the fastest and cheapest systems. ICE should benefit from the same dynamic as mortgages originated on its platform, estimated at ~45% of all US mortgages, close faster than on older systems. It is Sprecher's belief that a faster system will foster the development of associated products such as home equity loans (HELs) and home equity lines of credit (HELOCs), which ICE has already made available on its mortgage servicing portal.

Investment in AI

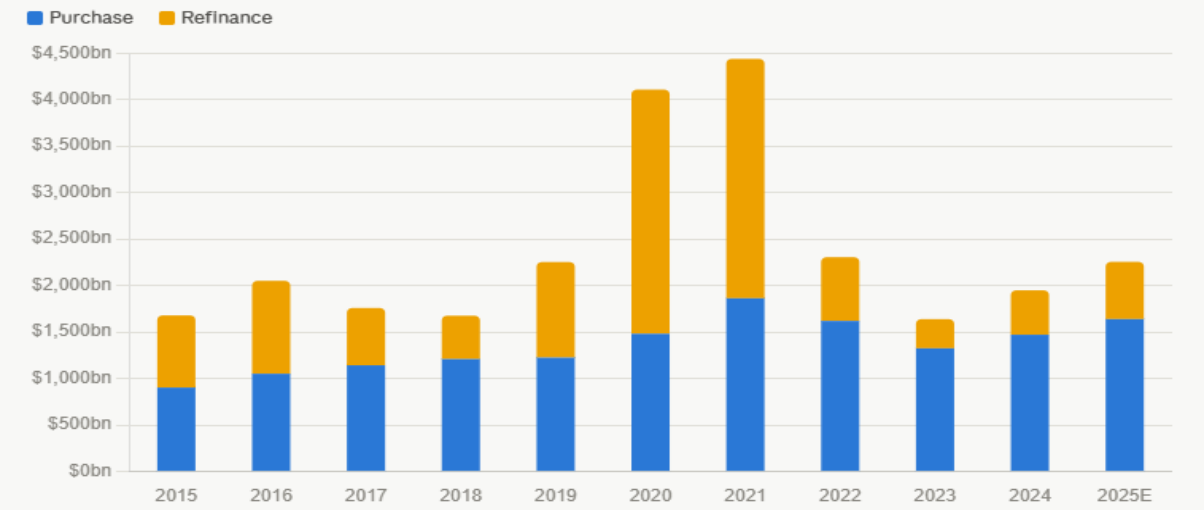
Like most forward-thinking businesses, ICE is embedding AI into its mortgage technology workflows. Voice and chat agents allow its servicing platform to handle high volumes of simultaneous customer calls and assist with questions on escrow, servicing transfers, or payments. This is unlikely to be a silver bullet on its own, but should speed up processing and continue widening the gap between ICE's platform and older, less-invested systems such as Calyx Point, BytePro, or Mortgage Cadence.

Criticisms

Scan the internet and you will find criticism of ICE's Mortgage Technology pricing — an annual/monthly subscription fee within Encompass (ICE's loan origination system), plus transaction fees on each originated loan, with a minimum volume threshold that has irked

mortgage brokers as refinance volumes collapsed from the highs seen in 2021.

MBA annual estimate of total US mortgage origination volume, purchase vs. refinance



Source: Mortgage Bankers Association

ICE has built a strong position in mortgage through a genuine attempt to rewire and simplify a complex set of processes. If it delivers on further promised innovation and those cost reductions reach consumers, the flywheel already visible in Exchanges, where greater platform volume drives greater network value for all users, should repeat itself here. The risk is the same lesson in reverse: the worst thing ICE could do is wring maximum short-term profit out of the system rather than let the flywheel turn.

Risks: Perpetual Futures and Prediction Markets

The principal emerging risk to ICE's Exchanges segment appears to come not from artificial intelligence, but from the expansion of prediction-market operators such as Kalshi and Polymarket into mainstream financial derivatives and the provision of 'perpetual futures'.

The emergence of prediction markets

For readers unfamiliar with these platforms: prediction markets allow users to trade contracts whose value depends on the outcome of an event. The customer experience is somewhat similar to Betfair in the UK. The platform brings together participants taking opposing views and earns transaction fees on trading flow rather than taking a directional position itself. Kalshi, however, is legally structured as a Commodity Futures Trading Commission (CFTC) regulated derivatives exchange rather than a conventional betting exchange, avoiding certain regulatory limitations that would apply to a betting-exchange structure.

A typical contract might ask: "Will Taylor Swift wear a white dress on her wedding day?" Participants buy either a "Yes" or "No" position; the contract settles at $1 if the outcome occurs and zero if not. Before settlement, its price trades between zero and $1 and can be read as an approximate market-implied probability. A "Yes" trading at $0.65 suggests the market assigns roughly a 65% probability to this situation. (Taylor Swift did wear a white dress, for those wondering.)

Prediction markets have proved very popular in the US, with Kalshi reporting its client base has grown to over 3 million active users per month in 2026. Alongside strong customer growth, Kalshi's most relevant innovation to ICE has been the perpetual future.

How perpetual futures differ from traditional futures

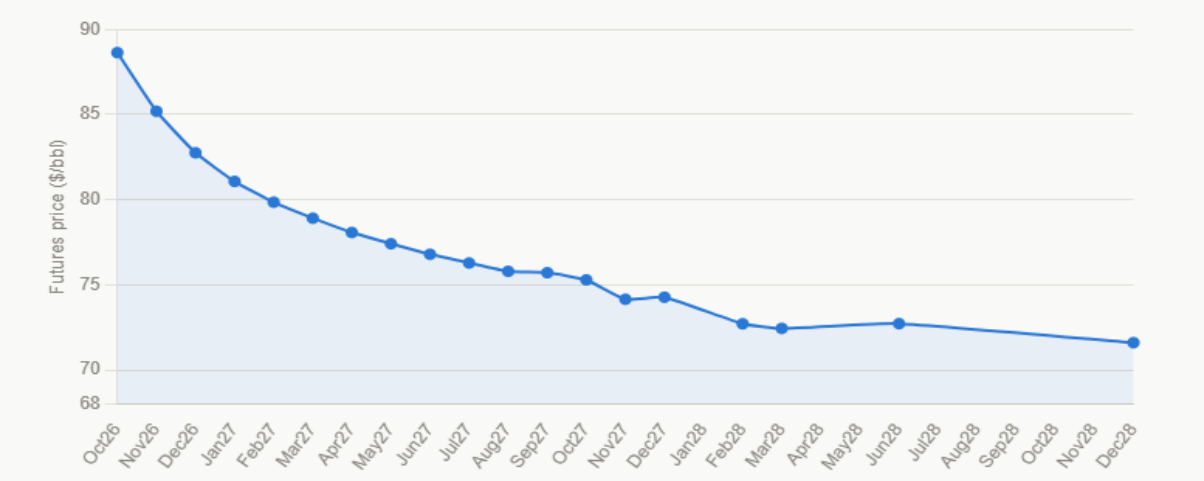
Perpetual futures ("perpetuals") are derivatives contracts but with no fixed expiry date. Unlike conventional futures, which have a finite term and require traders to close or roll positions as settlement approaches, perpetuals allow a position to remain open indefinitely, provided the trader continues to meet margin requirements. Because they don't mature and converge naturally toward a settlement price, perpetuals normally use periodic funding payments (or another mechanism) to keep price close to the underlying spot or reference price, with payments passing between long and short holders depending on market conditions. Perpetuals remove the operational inconvenience of rolling expiring contracts, but replace it with potentially uncertain funding costs.

A single perpetual contract also does not create a forward curve. A conventional futures market contains contracts with different maturity dates eg September 2026, December

2026, March 2027. Plotting their prices produces a term structure. The price of each maturity reflects the current spot price plus financing, storage, and insurance costs, convenience yield, expected supply and demand, and risk premia; it should not be read simply as the market's forecast of future spot price. A market is in **contango** when later-dated contracts trade above nearer-dated ones (carrying costs outweigh the benefits of holding the physical commodity); it is in **backwardation** when nearer-dated contracts trade above later maturities, often reflecting scarce immediate supply or a high convenience value to holding the physical commodity now.

The Brent crude curve is currently in backwardation, with nearby prices elevated by military action in the Middle East, indicating that scarcity and geopolitical premium are concentrated at the front of the curve, and probably that traders expect these pressures to ease at some point.

Brent crude futures ($ per barrel)



Source: ICE.com

Why the distinction matters for ICE

Perpetual futures suit investors seeking leveraged, continuous directional exposure. They are less well suited to commercial hedging. Consider an oil company expecting a cargo in two months: it can sell a conventional future expiring around the same date, locking in a price matched to its physical exposure. A perpetual could offer some protection against a general price fall, but exposes the company to variable funding payments, basis risk, and the absence of a maturity date aligned with the cargo. They therefore represent a less precise, less reliable hedge, and are less attractive to a corporate buyer seeking to reduce risk. This is the central distinction for assessing risk to ICE: perpetuals may compete effectively for short-term directional and leveraged trading, but traditional futures remain

much better adapted to physical delivery, maturity-specific hedging, and trading along the forward curve.

Kalshi's expansion

Investor concern increased after the CFTC approved Kalshi's Bitcoin perpetual contract on 29 May 2026. Kalshi has since said it is pursuing regulatory approval to extend perpetuals into foreign exchange, metals, and energy, where volatility and retail interest may generate substantial demand. On 21 July 2026, Kalshi filed with the CFTC for permission to offer perpetual contracts linked to gold, silver, and platinum, its first formal attempt to extend the product beyond crypto and into an asset class already served by established futures exchanges.

Betting on Polymarket

ICE appears to have hedged its bets with regards to the potential success of prediction markets, the growth of perpetuals and potential uses of blockchain and tokenisation. It invested a total of $1.6bn cash into Polymarket, the #2 prediction market after Kalshi, in two tranches; in October 2025 and March 2026. Initially ICE will exclusively distribute Polymarket's data, using the implied probabilities of events happening sourced from Polymarkets' customers and making this available over ICE's infrastructure to ICE's institutional clients.

Polymarket prediction market signals

ICE will provide an enhanced data feed derived from decentralized trading on real-world event outcomes on Polymarket. This prediction market data can enhance investment research, risk modelling, scenario analysis, and portfolio construction by surfacing leading indicators and uncorrelated signals ahead of traditional market movements.

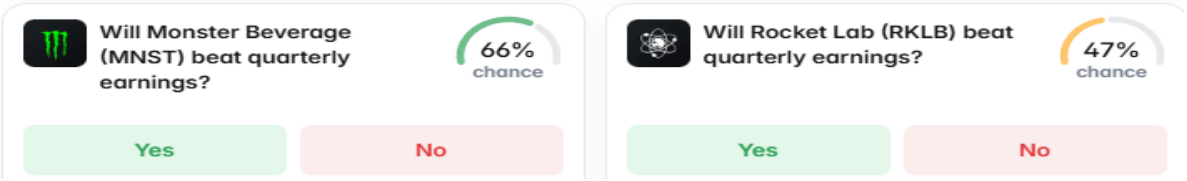
Polymarket captures diverse, global sentiment through blockchain-based markets covering political events, economic indicators, technology developments, and cultural trends. Polymarket's decentralized structure aggregates perspectives from worldwide participants, creating a unique dataset that reveals market expectations and latent variables often not captured by traditional financial instruments.

All trades and resolutions are recorded on-chain, providing verifiable, timestamped records that ensure data integrity and auditability. The platform's transparent pricing mechanism transforms collective intelligence into quantifiable probability assessments, offering financial institutions a window into crowd-sourced forecasting and alternative sentiment indicators.

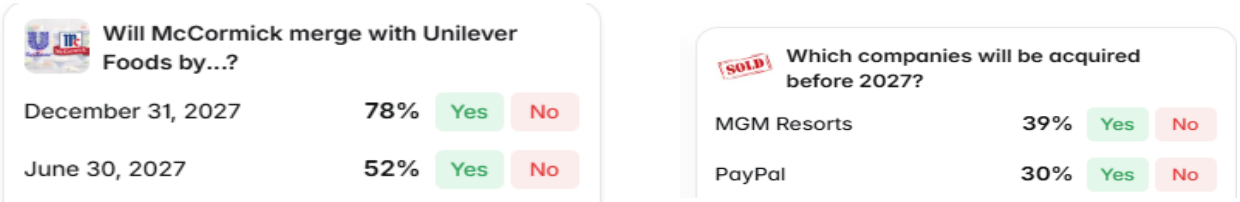
Source: https://www.ice.com/fixed-income-data-services/data-and-analytics/market-signals-and-sentiment

Here are some examples from the Polymarket website that will feed into Polymarket Market Signals:

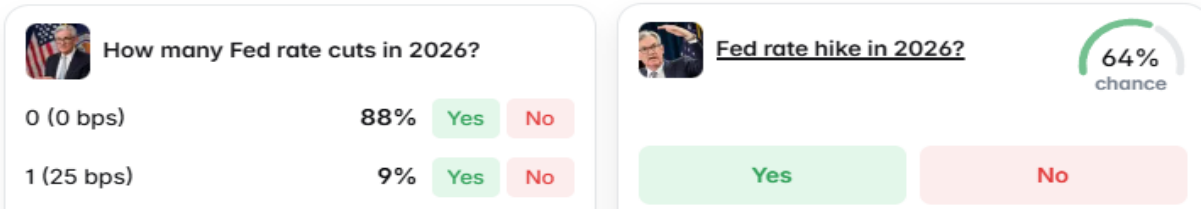
1. Company earnings predictions



2. M&A



3. FOMC Rates



Interestingly, ICE also appears to have a similar agreement with Reddit, called Reddit Signals and Sentiment which turns unstructured conversations, posts and mentions from thousands of subreddit communities into structured market signals and sentiment for capital market participants.

Coinbase $$$

ICE has been down this road before, although the initial commitment was much smaller. It invested $10m in Coinbase's $75m series C round in January 2015. The rationale was to bring additional transparency to bitcoin pricing and utilise NYSE's global distribution capabilities. The investment however was relatively short-lived with ICE selling all its shares for $1.23bn in Coinbase's IPO just over six year later.

The size of ICE's investment in Polymarket at $1.6bn suggests it sees the opportunity, or perhaps the threat, as much greater than it was for Coinbase.

Where does this leave ICE's exchanges?

It's more useful to distinguish between different reasons for trading exchange-listed derivatives than to draw an absolute retail/institutional line. Retail participants are generally more likely to use derivatives for short-term directional speculation and may be particularly attracted to leverage (you can get 10x leverage on the Polymarket website on certain categories), round-the-clock access, simple product design, and the ability to hold a position without rolling contracts.

Institutional activity is more varied: hedge funds, proprietary traders, and market makers may also value perpetuals for leveraged directional trading and arbitrage. On the other hand, commercial companies, asset managers, and other end users frequently require contracts with specific maturities to hedge identifiable exposures such as future commodity deliveries, interest payments or foreign-currency cash flows.

The danger for ICE and CME is that perpetuals gain an initial foothold among retail traders and crypto-oriented institutions, attracting market makers and proprietary trading firms and thereby building deeper liquidity. This would be the same self-reinforcing dynamic that built Brent's dominance, but working in a competitor's favour. If this happens, perpetuals might take a share of short-term speculative volume from conventional futures. There are also network effects to consider on the downside: once a new venue attracts volumes, spreads narrow and market makers facilitate trading, it becomes easier for larger institutions to participate. The risk isn't confined to immediate retail-volume loss, it's that a competing ecosystem develops around a simpler, more continuously traded product.

Nevertheless, conventional futures are likely to retain important structural advantages: maturity-specific hedging, support for physical delivery, and the ability to trade different points along a forward curve. These functions are deeply embedded in the risk-management processes of energy companies, commodity producers, manufacturers, banks, and asset managers.

Perpetual futures and prediction markets in general appear very much geared up towards the speculative and short-duration portion of exchange trading, rather than an existential threat to ICE's derivatives franchise. The greater near-term exposure likely sits with exchanges whose contracts are dominated by financial speculation and retail-accessible products. ICE's commercially oriented energy markets should prove more defensible, because much of their value lies in physical-market connectivity, benchmark status, deep institutional liquidity, and the ability to hedge exposures at specific future dates.

Regulatory backlash?

There must be a risk that US regulators impose stricter trading rules on retail customers as has been seen in the UK over the last decade (the FCA restricted both the use of leverage

and access to short-term products like “turbos”). As we have seen with rule changes post Enron, usually such laws are imposed after a scandal where a great deal of money is lost. A huge drawdown on leveraged crypto bets placed on prediction markets causing inexperienced retail traders to be wiped out might just be one such scenario. Unfortunately, it tends to take a large loss event before inexperienced traders can be protected from themselves.

The threat to offer perpetual futures in bitcoin, metals and interest rates has clearly spooked The Chicago Mercantile Exchange. It is suing both the U.S. Commodity Futures Trading Commission and its chairman, Michael Selig, challenging a recent decision to let the prediction markets platform Kalshi and cryptocurrency exchange Coinbase list perpetual futures. It will be interesting to see how this plays out.

ICE's Divisions

This note will now give an overview of the three divisions : Exchanges, Fixed Income and Data Services and Mortgage Technology as well as Group finances, capital allocation and valuation.

Exchanges

54% of revenues, 65% of underlying operating income

This is ICE's original and most profitable business. ICE owns and operates 13 regulated exchanges, most notably the New York Stock Exchange, acquired in 2013 and 6 clearing houses. It runs a global futures franchise (ICE Futures Europe, ICE Futures U.S.) with a particularly strong position in energy, anchored by Brent crude as a benchmark product (see the *Energy Futures and Options* case study), alongside a large interest rate and financial futures complex and strong positions in agricultural and metals futures, cash equities, and equity options.

In futures, the key to profitability is becoming the dominant liquidity provider in a given contract. Liquidity is self-reinforcing: once a benchmark contract like Brent crude futures achieves critical mass on ICE's order book, traders have little reason to direct volume to a rival venue. That dominance lets ICE monetise the same trade three times over via the transaction fee on each trade, the clearing fee, and the sale of the resulting market data to participants such as traders and fund managers.

ICE is also a beneficiary of higher volatility. The US bombing of Iran in Operation "Epic Fury," which began on 28th February 2026, is a recent illustration: oil and gas prices surged, forcing traders and companies to hedge or adjust their exposure, and ICE's oil futures and options volumes rose 41% in the first quarter, with global natural gas futures and options volumes up 21%.

Beyond transaction and clearing fees, ICE earns "exchange data services" revenue from selling market data and connectivity, as well as listing fees from companies listed on its exchanges (such as the NYSE) or products listed on its futures exchanges. These data, connectivity, and listing fees tend to be recurring in nature and account for just under 30% of the division's revenue.

Unlike ICE’s group-level growth, which has been materially bolstered by acquisitions, the growth of its Exchanges division since 2020 has been overwhelmingly organic. Net revenues increased from $3.6bn in 2020 to $5.4bn in 2025, an 8% CAGR, principally through greater utilisation of existing franchises rather than M&A. The largest contribution came from the continued development of ICE’s energy complex, particularly natural gas, power and environmental markets, alongside the revival of the LIFFE-derived European

interest-rate franchise as interest-rate volatility returned. Exchange data and connectivity revenues have provided a steadier recurring growth component.

	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Exchanges							
Revenues $							
Energy futures and options	$ 1,120	$ 1,236	$ 1,162	$ 1,498	$ 1,876	$ 2,182	14%
Agricultural and metals futures and options	245	228	235	271	257	233	-1%
Financial futures and options	357	394	475	460	559	608	11%
Futures and options	1,722	1,858	1,872	2,229	2,692	3,023	12%
Cash equities and equity options	2,585	2,377	2,722	2,298	2,913	3,176	4%
OTC and other	296	326	429	398	400	395	6%
Transaction and clearing, net	4,603	4,561	5,023	4,925	6,005	6,594	7%
Data and connectivity services	790	838	877	933	947	1,031	5%
Listings	446	479	515	497	489	495	2%
Revenues	**5,839**	**5,878**	**6,415**	**6,355**	**7,441**	**8,120**	**7%**
Transaction-based expenses	2,208	2,022	2,344	1,915	2,482	2,709	4%
Revenues, less transaction-based expenses	**3,631**	**3,856**	**4,071**	**4,440**	**4,959**	**5,411**	**8%**
Growth	**10%**	**6%**	**6%**	**9%**	**12%**	**9%**	
Operating expenses	1,242	1,333	1,209	1,281	1,323	1,429	3%
Operating income	**$ 2,389**	**$ 2,523**	**$ 2,862**	**$ 3,159**	**$ 3,636**	**$ 3,982**	11%
Operating income growth	**10%**	**6%**	**13%**	**10%**	**15%**	**10%**	
Operating margin %	**65.8%**	**65.4%**	**70.3%**	**71.1%**	**73.3%**	**73.6%**	
Recurring revenues	$ 1,236	$ 1,317	$ 1,392	$ 1,430	$ 1,436	$ 1,526	4%
Transaction revenues, net	$ 2,395	$ 2,539	$ 2,679	$ 3,010	$ 3,523	$ 3,885	10%

Source: ICE 10ks

In 2025, Exchanges generated $5.4bn in net revenues, up 9% year-on-year, at a c.75% adjusted operating margin. Just over 70% of its revenues are generated from transaction fees which have grown at 10% CAGR over the last five years, compared to 4% CAGR for its recurring revenue streams.

Given the volatility of the underlying revenue lines, such as Energy futures and options which fell 6% in 2022 to $1162m, but was nearly 90% higher just three years later, it is difficult to predict with any certainty the Exchange's revenues in the next couple of years. However, the Exchanges division continues to broaden the products traded. It is also a beneficiary of volatility, whether in commodities, equity markets or interest rate futures, so unless there is a negative marked impact from perpetual futures, it seems to me that the past is as good a guide of the future as one has.

Fixed Income and Data Services

24% of net revenues, 20% of operating income

This segment helps banks, asset managers, and traders price, trade, and manage bonds. The bond market is far more opaque than equities, since a single government or company might issue dozens of bonds across different maturities, currencies, and seniority levels, versus typically one class of share. ICE addresses this by providing evaluated pricing and reference data on over 3 million fixed income instruments across 150+ countries and 80 currencies (government, corporate, and municipal bonds, mortgage-backed securities, loans), then builds on that data foundation with bond market indices (the fixed income equivalent of the S&P 500), an electronic trading venue (ICE Bonds), a clearing house that guarantees credit default swap trades, ICE Clear Credit, discussed earlier and the ICE Global Network, providing secure, low-latency connectivity to over 150 trading venues and hundreds of data sources. In effect, it combines a pricing agency, index provider, trading venue, clearing house, and data network.

Revenues are very sticky. Over 80% of the division's revenues are classed as recurring because ICE's data and tools get embedded directly into customers' daily workflows: valuing portfolios, meeting compliance requirements, running risk models, and powering trading screens. Once a bank builds those processes around ICE's data, switching becomes disruptive and costly, driving high retention. This is also what separates the segment from a pure data vendor: ICE doesn't just sell information, it captures the customer at multiple points in the same workflow: pricing, indices, execution, and clearing. As a result, revenue isn't dependent on any single transaction the way a stock exchange's trading fees are. The benchmark-administration angle discussed above (LIBOR, and by extension ICE's other benchmarks such as the LBMA Gold and Silver prices) sits inside this segment and is a direct product of the regulatory dynamic described earlier.

Over the last fives years growth in Fixed Income and Data Services division was, like the Exchanges division, predominantly organic. Net revenues increased from $1.8bn in 2020 to $2.4bn in 2025, a 6% CAGR. Operating expenses only grew at 2% CAGR over the period, resulting in operating income growth 14% CAGR and margins expanding from 27.2% to 38.6%.

The division grew revenues 5% in 2025 to $2.4bn, generating 24% of ICE's total revenue, at a 38.6% operating margin. Just over 80% of its revenues are generated from recurring revenues which have grown at 5% CAGR over the last five years, compared to 11% CAGR for its transaction revenues.

	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Fixed Income & Data Services							
Revenues:							
Fixed income execution	$ 70	$ 52	$ 101	$ 124	$ 117	$ 125	12%
CDS clearing	208	192	305	360	343	338	10%
Fixed income data and analytics	1,018	1,082	1,098	1,118	1,177	1,234	4%
Fixed income and credit	1,296	1,326	1,504	1,602	1,637	1,697	6%
Other data and network services	514	557	588	629	661	722	7%
Revenues	**1,810**	**1,883**	**2,092**	**2,231**	**2,298**	**2,419**	**6%**
Operating expenses	1,318	1,354	1,373	1,420	1,455	1,486	2%
Operating income	**$ 492**	**$ 529**	**$ 719**	**$ 811**	**$ 843**	**$ 933**	**14%**
Operating income growth	**12%**	**8%**	**36%**	**13%**	**4%**	**11%**	
Operating margin %	**27.2%**	**28.1%**	**34.4%**	**36.4%**	**36.7%**	**38.6%**	
Recurring revenues	$ 1,532	$ 1,639	$ 1,686	$ 1,747	$ 1,838	$ 1,956	5%
Transaction revenues	$ 278	$ 244	$ 406	$ 484	$ 460	$ 463	11%

Source: ICE 10ks

Of all the divisions this has the greatest predictability of revenue growth given the 80% contribution from recurring revenues. Organically I would be comfortable predicting more of the same, namely 6-7% net revenue growth and some margin expansion, but maybe not to the same extent as the previous five years.

The MarketAxess deal will contribute to this division's revenues from the end of H1 2027, if the completion runs to estimated timetable. It adds $870m of revenue, but growth has been slower, at 4.4% CAGR over five years. The acquisition is strategically interesting because it could provide cross selling opportunities. ICE already has pricing data, indices, analytics and a wealth/retail bond marketplace; MarketAxess adds roughly 2,100 institutional investors and dealers across more than 90 countries. ICE has described the combination as creating an integrated fixed-income ecosystem from analytics through execution and settlement. On an organic basis, the combined business may initially grow slower than the standalone Fixed Income and Data Services but ICE has a history of reinvigorating acquired businesses.

Mortgage Technology

24% of net revenues, 15% of underlying operating income

This is ICE's newest and most different segment, built via the acquisitions of Ellie Mae (2020) and Black Knight (2023). It sells software running the US mortgage origination and servicing workflow: loan origination systems, closing solutions, servicing software, and data/analytics for lenders, earning money through a mix of per-transaction fees and recurring subscription and platform fees. Because it is tied to US mortgage origination volumes, it is more cyclical than ICE's other divisions, and operating margins pre-amortisation are lower, at just under 40%. Longer term, there is scope for margin expansion if the division increases its market share in loan origination beyond its current level of around 45% (the origination-share and volume dynamics behind that thesis are explored in the *Mortgage Technology* case study).

The division grew revenues 4% in 2025 to $2.1bn and generated 21% of ICE's total revenue. Over the past 5 years it has grown revenues at 29% CAGR, predominantly driven by acquisitions. It is more informative to look at the adjusted operating income which excludes the amortisation of goodwill which is pretty chunky after the Ellie Mae and Black Knight acquisitions.

Mortgage Technology	2020	2021	2022	2023	2024	2025	
Revenues:							
Origination technology	316	971	758	694	713	$ 738	18%
Closing solutions	238	310	229	179	202	223	-1%
Servicing software	19	53	52	288	848	871	115%
Data and analytics	22	73	90	156	259	269	65%
Revenues	**595**	**1,407**	**1,129**	**1,317**	**2,022**	**2,101**	**29%**
Operating expenses	443	1,010	1,072	1,593	2,192	2,087	36%
Adjusted operating income	**364**	**805**	**511**	**508**	**724**	**859**	
Adjusted operating margin	61.2%	57.2%	45.3%	38.6%	35.8%	40.9%	
Recurring revenues	$ 155	$ 553	$ 643	$ 961	$ 1,555	$ 1,574	59%
Transaction revenues	$ 440	$ 854	$ 486	$ 356	$ 467	$ 527	4%

Source: ICE 10ks

Looking at the 2021 financial year, it shows the earnings power of the division when homeowners need to remortgage or move home. Transaction revenues jumped from $440m in 2021 to $854 the following year. With the current 10 year Treasury yield at 4.65%,

back towards its five year highs, the mortgage market is understandably subdued. Mortgage Technology's revenues are currently 75% recurring, but if rates started to fall, I could see a pick-up in the transaction revenues similar to the 2021 situation. On the other hand, the downside is protected by the high level of recurring fees.

Income Statement

ICE has put together a good track record of organic growth, margin expansion and acquisitions. Over ten years net revenues, stated after transaction-based expenses, have grown at 12% CAGR, operating expenses at 12% CAGR and adjusted earnings per share (EPS) at 11% due to higher interest payable from cash financed acquisitions.

The five year picture is similar. Net revenues, stated after transaction-based expenses, have grown at 10% CAGR, operating expenses at 11% CAGR and adjusted earnings per share (EPS) at 9% due to acquisitions and higher net interest payments.

	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Total Group revenues	8,244	9,168	9,636	9,903	11,761	12,640	9%
Total revenues, less transaction-based expenses	6,036	7,146	7,292	7,988	9,279	9,931	10%
Total operating expenses	3,003	3,697	3,654	4,294	4,970	5,002	11%
Operating income	3,033	3,449	3,638	3,694	4,309	4,929	10%
Group Adjusted operating income	3541	4169	4339	4728	5469	5992	
Group Adjusted operating margin	58.7%	58.3%	59.5%	59.2%	58.9%	60.3%	
Other income (expense), net	-267	2,249	-1,830	-800	-681	-583	17%
Income before income tax expense	2,766	5,698	1,808	2,894	3,628	4,346	9%
Income tax expense	658	1,629	310	456	826	976	8%
Tax rate (%)	24%	29%	17%	16%	23%	22%	
Net income attributable to non-controlling interest	-19	-11	-52	-70	-48	-55	24%
Net income attributable to Intercontinental Exchar	$ 2,089	$ 4,058	$ 1,446	$ 2,368	$ 2,754	$ 3,315	10%
Adjusted EPS (Diluted)	$ 4.51	$ 5.15	$ 5.30	$ 5.62	$ 6.07	$ 6.95	9%

M&A and capital allocation

From its early days bringing in a consortium of equity investors and exchanging shares for a commitment to use its trading platform, ICE has not been afraid to strike deals for equity or, more recently, cash.

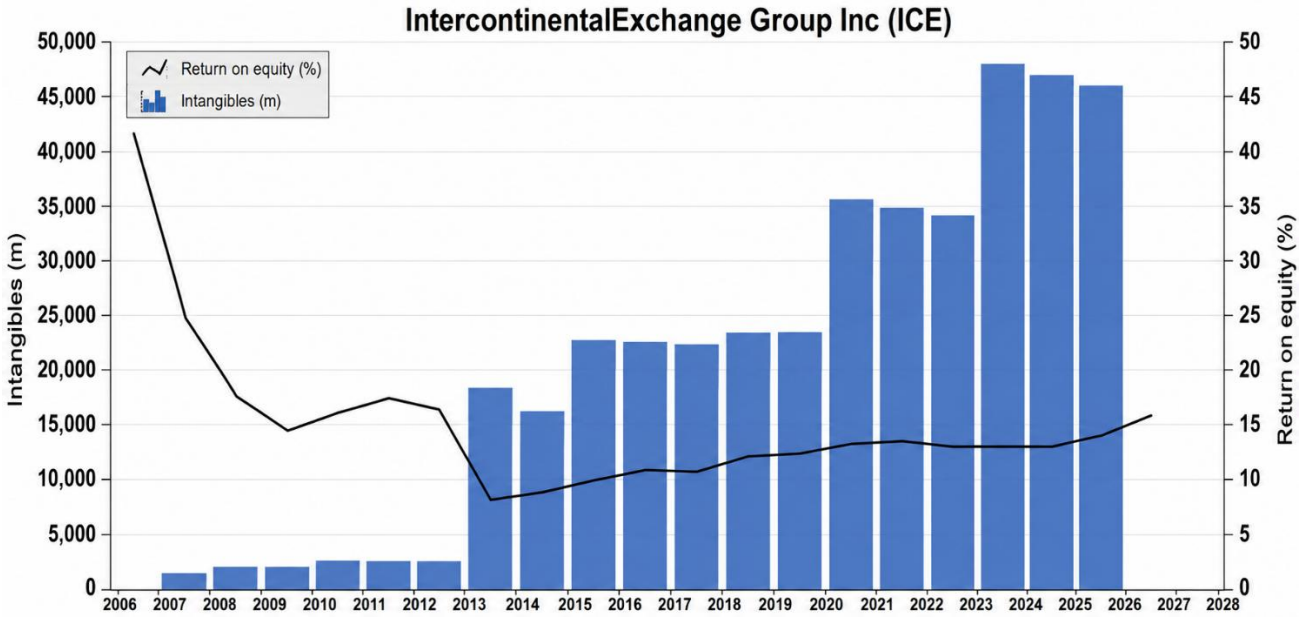
Since its formation ICE has made acquisitions with a value of over c.$53bn, even excluding the "not disclosed" entries. It should be noted this is a large number for a company whose current market cap sits around $87bn. Offset against this are $6bn of disposals; some forced by regulators such as the disposal of Black Knight's Optimal Blue mortgage pricing engine on competition grounds, while others such as the Coinbase stake, acquired for $10m in 2015 and sold for $1.2bn in 2020 just made financial sense.

Year	Company / Target	Consideration
2001	International Petroleum Exchange (IPE)	$131m ($65m cash, $66m stock)
2007	New York Board of Trade (NYBOT)	$1bn ($400m cash, $600m stock
2007	Winnipeg Commodity Exchange (WCE)	$47m - cash
2008	Creditex Group	$625m ($565m stock + $60m cash)
2010	Climate Exchange PLC (incl. ECX)	£395m (~$622m) - cash
2013	NYSE Euronext	$11bn (c$8.3bn stock, $2.7bn cash)
2015	SuperDerivatives	$350m - cash
2015	Coinbase (Series C, minority stake)	$10m (in $75m Series C round)
2015	Interactive Data Corporation (IDC)	$5.2bn ($3.65bn cash + $1.55bn stock)
2015	Trayport	$650m - stock
2016	S&P Securities Evaluations (SPSE) / CMA	Not disclosed
2016	MERSCORP Holding (majority stake)	Not disclosed
2017	TMX Atrium	Not disclosed
2017	BofA Merrill Lynch Global Research Index Platform	Not disclosed
2017	Euroclear (minority stake)	€275m cash (4.7% stake; later increased to ~10%)
2017	Virtu BondPoint	$400m cash
2018	Chicago Stock Exchange (CHX)	$70m (estimated) - cash
2018	TMC Bonds LLC	$685m cash
2018	MERSCORP Holding (remaining equity)	Not disclosed
2019	Simplifile, LC	$335m
2020	Ellie Mae	$11bn ($9.5bn cash, $1.9bn stock)
2021	risQ	Not disclosed
2022	Black Knight, Inc.	$13.1bn ($2.6bn in stock @ $85/share, $10.5bn cash)
2025	American Financial Exchange (AFX)	Not disclosed
2025	Polymarket (strategic investment)	$1.6bn (two tranches, cash)
2026	OKX (strategic investment)	$200m
2026	MarketAxess Holdings	$5.7bn - cash

Source: annual reports, EdgarOnline, Wikipedia,

Looking at ICE's issuance of equity to finance deals, the heavy issuance of shares occurred in ICE's early days for acquisitions such as International Petroleum Exchange, NYSE and Interactive Data Corporation. Over the last ten years ICE has made acquisitions with a combined value of $34bn, but only $4.5bn has been financed through equity issuance and ICE has retired $7.1bn of equity through share buybacks over the same period.

The heavy use of acquisitions to build out ICE's divisions has come at a price to return on equity (ROE). Intangible assets on the balance sheet, mainly from goodwill generated through acquisitions, stand at $45bn. ROE was 15% in 2025 and has been recovering after the combined $23bn spent on Ellie Mae (2020) and Black Knight (2022).



Source: ShareScope

Mortgage Technology : return on investment in focus

Sprecher has been open about his negotiating style during acquisitions. In ICE's own "Inside the ICE House" podcast (Episode 14, reflecting on two decades of dealmaking) Sprecher says that across "dozens and dozens and dozens" of acquisitions, including the NYSE, he says he has never been the low bidder, and never the counterparty who comes back at the eleventh hour asking for another nickel off the price. His stated preference is the opposite: "pay a full, decisive price to win the asset and close fast".

Thus far, this approach has worked well, although one might argue that the assembly of the Mortgage Technology division, which cost at least $24.4bn has not yet delivered to anywhere its full potential. He might argue that the platform continues to gain market

share and market share is the key to returns “Ellie Mae handles 50% of all originations, MERS has 85% to 90% of the registrations, and Black Knight holds 65% of the servicing market… We touch nearly every home loan in some way." However the Mortgage Technology division has only delivered a 3.5% pre-tax return on investment (using 2025’s adjusted operating income of $859m) thus far. I believe it is fair to say that there is innate potential within the Mortgage Technology division, but it is as yet case unproven.

Balance Sheet

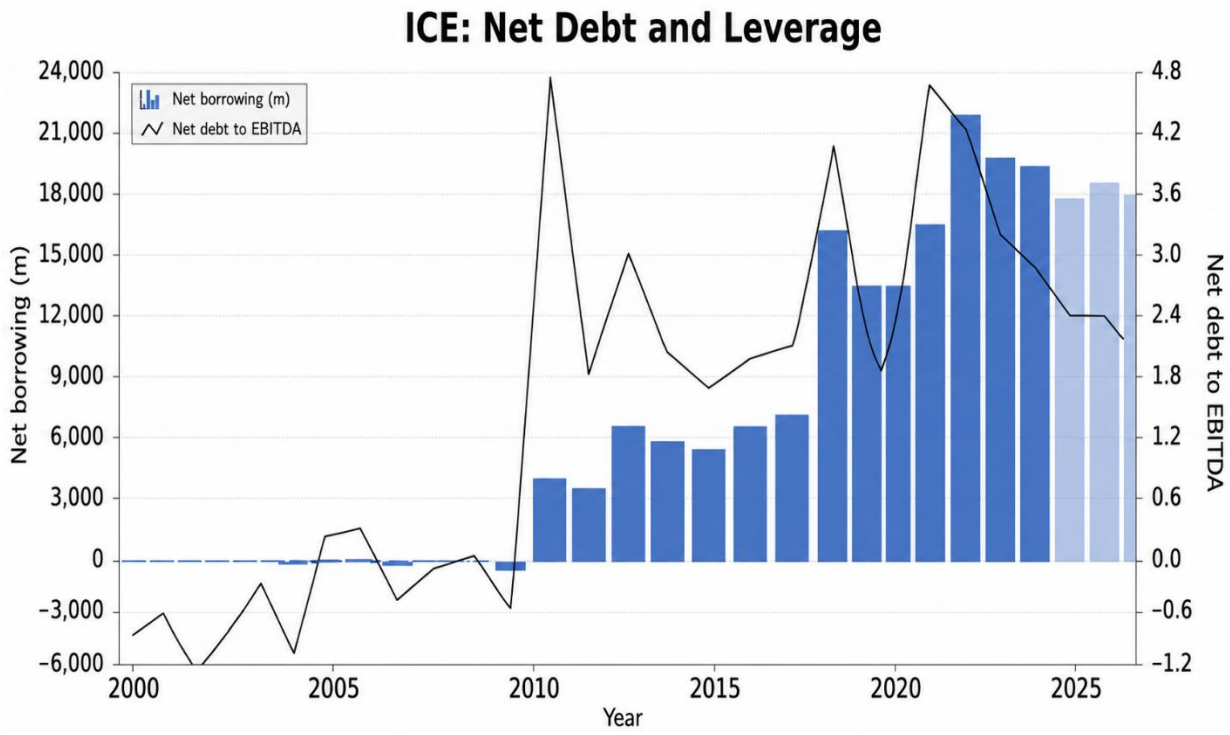
ICE carries a meaningful amount of debt because it has repeatedly used the balance sheet to fund acquisitions. Investors and the rating agencies have generally been comfortable with that because ICE produces very predictable, high-margin cash flows and has demonstrated an ability to deleverage quickly after deals.

As at 30 June 2026, ICE had $19.8bn of debt and $1.1bn of unrestricted cash, so roughly $18.7bn of net debt. In absolute terms it’s a large number, but ICE also generated $4.2bn of adjusted free cash flow in 2025 and $2.6bn in the first half of 2026.

ICE’s exchange, clearing and data revenues are highly recurring or transaction-driven, while capital expenditure is modest relative to cash generation, and margins are very high. In 2025 ICE generated $6.0bn of adjusted operating income at a 60% margin.

In management’s and investors eyes this allows ICE to carry more debt and means when leverage rises after an acquisition, there is substantial cash available to pay it down. Black Knight is a good example. ICE borrowed heavily to complete the deal in 2023, including a $2.4bn term loan and $2.6bn of commercial paper. The term loan was completely repaid by Q2 2024, while commercial paper fell from about $2.0bn at the end of 2023 to only $529m by the end of 2024.

S&P reached essentially the same conclusion when the Black Knight deal was announced. Despite ICE potentially adding around $10bn of debt, it maintained ICE's A-/A-2 rating with a stable outlook, saying ICE's strong cash generation meant leverage should remain comfortably within the tolerance for the rating and fall below 3x debt/EBITDA.



Source: ShareScope

In terms of longer-term debt, ICE's senior bonds are well structured. At the end of 2025, its $18.6bn of senior notes had an average maturity of around 14 years and an average interest cost of just 3.7%. That is very attractive financing and means there isn't a large near-term refinancing cliff. The next senior note, $1.5bn is due for repayment in 2027

One other thing worth mentioning, because ICE operates clearing houses, its statutory balance sheet also contains very large clearing-related assets and liabilities representing margin and collateral posted by market participants. Those clearing balances can make the balance sheet look enormous, but they should not be confused with ICE's own corporate borrowing. They are largely matched assets and liabilities associated with clearing members.

MarketAxess pushes leverage up again

The announcement in August 2026 of the acquisition of MarketAxess for an enterprise value of $5.7bn, entirely using new debt, will push up debt ratios again. Management has said that it expects gross debt/EBITDA to rise to about 3.4x at completion with an intention to reduce this to 3.0x or below within 18–24 months. Remarkably, it is financing the whole MarketAxess deal with debt while simultaneously continuing share buybacks, increasing its baseline repurchase programme from $350m to $400m per quarter.

From a personal perspective, leverage of 3.4x starts to butt up against my comfort zone, even for a business with high recurring revenues. It doesn't take much to go wrong. I will be watching the balance sheet and cashflow carefully.

Cashflow

ICE has historically converted over 80% of its adjusted operating income into cash with limited friction. Capital intensity is low relative to revenue. The core Exchanges and Fixed Income and Data Services businesses need almost no incremental capex to scale, since the marginal cost of an extra trade or an extra data subscriber is close to zero once the platform exists. Mortgage Technology carries a somewhat heavier ongoing technology spend, but it remains modest set against the group's overall cash generation.

The group generated $6.0bn of adjusted operating income in 2025 at a 60% margin, and this converted into $4.2bn of adjusted free cash flow for the year, with a further $2.6bn generated in the first half of 2026 alone. Ten year conversion of operating income to free cashflow has averaged 85%.

This cash generation is what makes ICE's acquisition-funded growth model work without permanently impairing the balance sheet. The Black Knight deleveraging path is the clearest evidence of this: net debt taken on to fund the 2023 acquisition, including a $2.4bn term loan, was repaid in full within about a year, funded entirely from organic free cash flow rather than asset sales or equity issuance. The same dynamic underpins management's guidance on MarketAxess: 3.4x pro forma leverage figure at completion, falling to 3.0x or below within 18-24 months.

Free cash flow is also funding capital returns without requiring a trade-off against deleveraging in most years. ICE has retired $7.1bn of equity through buybacks over the last ten years while also paying a growing ordinary dividend and (Black Knight and the 2022-2023 dividend suspension aside) has generally been able to do both simultaneously rather than choosing between shareholder returns and paying down acquisition debt. The one exception is worth flagging here: the MarketAxess deal is being funded entirely by new debt at the same time the board has raised the quarterly buyback run-rate from $350m to $400m, meaning FY2026-27 is likely to be the first period in some years where free cash flow doesn't comfortably cover deleveraging and capital returns at the same time.

Valuation

The valuation is not outrageous for a US company. Looking at company adjusted EPS (to exclude goodwill amortisation) ICE is trading on a price earnings ratio of 19x December 2026 forecasts and 17.7x 2027 for a company that has delivered a five year EPS CAGR of 9% and 10% CAGR over ten years.

ICE vs peers

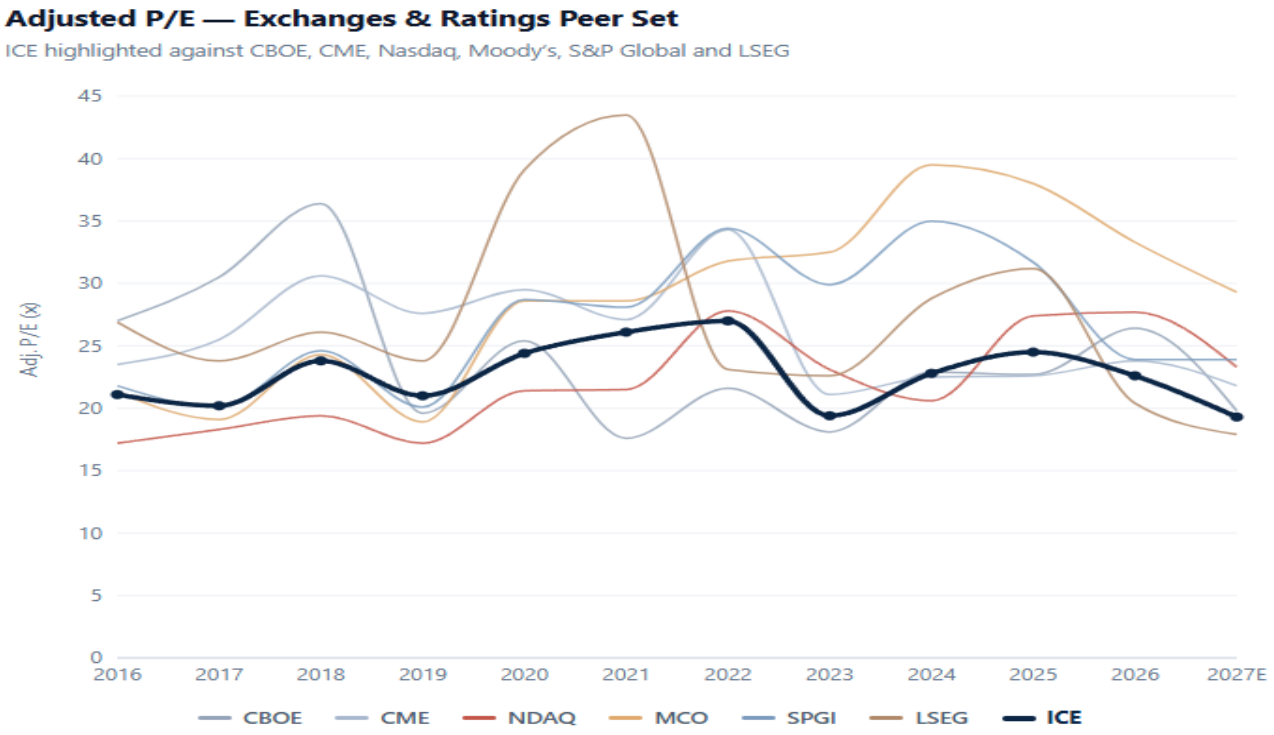
ICE trades at a 10-20% valuation discount to its exchanges peers like Cboe and Nasdaq, both of which have delivered significantly faster earnings growth over five and ten years.

ICE: Peer group valuations

			PE		EPS CAGR	
Company	**Ticker**	**Mkt Cap $bn**	**2026**	**2027**	**5 yr**	**10 yr**
Cboe Global Markets	CBOE	31	21	19	21%	16%
Nasdaq OMX	NDAQ	55	23	21	11%	14%
Moody's Corp	MCO	85	29	26	8%	13%
S&P Global	SPGI	124	23	21	9%	13%
CME Group	CME	98	22	21	14%	12%
Intercontinental Exchange	**ICE**	**88**	**19**	**18**	**9%**	**10%**

Source: ShareScope

A longer-term valuation chart shows the derating ICE has suffered since the acquisition of Ellie Mae in 2020. The company has moved from the middle of the peer group to the bottom end of it.



Source: ShareScope

From my perspective ICE is demonstrably underearning in its Mortgage Technology division. Should mortgage volumes and associated activity improve (admittedly doubtful short term) and ICE manages costs carefully, there could be a marked increase in the operating income contribution from the Mortgage Technology division. In turn this would feed into earnings and the valuation investors put on the company.

Conclusion

ICE, under Jeff Sprecher's continued leadership as founder, CEO and Chairman has built three financial infrastructure networks in different areas: trading, data, and mortgage workflow. The playbook has been similar for each. Identify an inefficient market, acquire an initial platform and then build upon it organically by offering more products and enhance it with bolt-on acquisitions.

Regulation has been a positive tailwind, centralising trading, clearing and benchmark administration onto regulated infrastructure and making scale, capital and regulatory credibility increasingly important competitive advantages. That pattern has held for a quarter of a century, through Enron, Dodd-Frank and LIBOR, and there is little evidence that the regulatory advantages of scale and incumbency are diminishing.

Yet the shares have lagged their peers over the last five years. Investors are concerned that ICE's $24bn investment into the Mortgage Technology division has yet to earn a return on investment above its cost of capital and of the potential threat from prediction markets. While perpetual futures are a threat to the speculative, retail-driven slice of exchange volume they are unlikely to challenge the maturity-specific hedging business that underpins the bulk of ICE's institutional franchise. ICE's $1.6bn bet on Polymarket looks less like capitulation and more like optionality, hedging its bets either way.

The market's current scepticism is tangible in the numbers: at 18x 2027 PE, ICE sits at a 10-20% discount to exchange peers like Cboe, Nasdaq and CME. However, this is where the opportunity exists for the patient investor. I believe the Exchanges and Fixed Income and Data Services divisions will continue to grow organic revenues around 6-8% p.a. with associated operating leverage. More importantly, Group earnings have yet to benefit from the Mortgage Technology division running on full cylinders, which would boost the Group's growth rate. Lastly, I believe the threats from perpetual futures are overstated, which should allow for a rerating over time.

All of which mean that at the current earnings multiple, I do not need heroic assumptions to make today's discount look overly pessimistic.

Stay Curious !

Simon

Intercontinental exchange (ICE)

Yr end 31 Dec

	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Exchanges							
Revenues $							
Energy futures and options	$ 1,120	$ 1,236	$ 1,162	$ 1,498	$ 1,876	$ 2,182	14%
Agricultural and metals futures and options	245	228	235	271	257	233	-1%
Financial futures and options	357	394	475	460	559	608	11%
Futures and options	1,722	1,858	1,872	2,229	2,692	3,023	12%
Cash equities and equity options	2,585	2,377	2,722	2,298	2,913	3,176	4%
OTC and other	296	326	429	398	400	395	6%
Transaction and clearing, net	**4,603**	**4,561**	**5,023**	**4,925**	**6,005**	**6,594**	**7%**
Data and connectivity services	790	838	877	933	947	1,031	5%
Listings	446	479	515	497	489	495	2%
Revenues	**5,839**	**5,878**	**6,415**	**6,355**	**7,441**	**8,120**	**7%**
Transaction-based expenses	2,208	2,022	2,344	1,915	2,482	2,709	4%
Revenues, less transaction-based expenses	**3,631**	**3,856**	**4,071**	**4,440**	**4,959**	**5,411**	**8%**
Growth	**10%**	**6%**	**6%**	**9%**	**12%**	**9%**	
Other operating expenses	965	1,028	968	1,033	1,063	1,172	4%
Depreciation and amortization	261	244	240	248	260	255	0%
Acquisition-related transaction and integration costs	16	61	1	-	-	2	-34%
Operating expenses	1,242	1,333	1,209	1,281	1,323	1,429	3%
Operating income	**$ 2,389**	**$ 2,523**	**$ 2,862**	**$ 3,159**	**$ 3,636**	**$ 3,982**	11%
Operating income growth	**10%**	**6%**	**13%**	**10%**	**15%**	**10%**	
Operating margin %	**65.8%**	**65.4%**	**70.3%**	**71.1%**	**73.3%**	**73.6%**	
Recurring revenues	$ 1,236	$ 1,317	$ 1,392	$ 1,430	$ 1,436	$ 1,526	4%
Transaction revenues, net	$ 2,395	$ 2,539	$ 2,679	$ 3,010	$ 3,523	$ 3,885	10%
Fixed Income & Data Services							
Revenues:							
Fixed income execution	$ 70	$ 52	$ 101	$ 124	$ 117	$ 125	12%
CDS clearing	208	192	305	360	343	338	10%
Fixed income data and analytics	1,018	1,082	1,098	1,118	1,177	1,234	4%
Fixed income and credit	1,296	1,326	1,504	1,602	1,637	1,697	6%
Other data and network services	514	557	588	629	661	722	7%
Revenues	**1,810**	**1,883**	**2,092**	**2,231**	**2,298**	**2,419**	**6%**
Operating expenses	1,318	1,354	1,373	1,420	1,455	1,486	2%
Operating income	**$ 492**	**$ 529**	**$ 719**	**$ 811**	**$ 843**	**$ 933**	**14%**
Operating income growth	**12%**	**8%**	**36%**	**13%**	**4%**	**11%**	
Operating margin %	**27.2%**	**28.1%**	**34.4%**	**36.4%**	**36.7%**	**38.6%**	
Recurring revenues	$ 1,532	$ 1,639	$ 1,686	$ 1,747	$ 1,838	$ 1,956	5%
Transaction revenues	$ 278	$ 244	$ 406	$ 484	$ 460	$ 463	11%

Mortgage Technology

	2020	2021	2022	2023	2024	2025
Revenues:						
Origination technology	316	971	758	694	713	$ 738
Closing solutions	238	310	229	179	202	223
Servicing software	19	53	52	288	848	871
Data and analytics	22	73	90	156	259	269
Revenues	**595**	**1,407**	**1,129**	**1,317**	**2,022**	**2,101**
Operating expenses	443	1,010	1,072	1,593	2,192	2,087
Adjusted operating income	**364**	**805**	**511**	**508**	**724**	**859**
Adjusted operating margin	61.2%	57.2%	45.3%	38.6%	35.8%	40.9%
Recurring revenues	$ 155	$ 553	$ 643	$ 961	$ 1,555	$ 1,574
Transaction revenues	$ 440	$ 854	$ 486	$ 356	$ 467	$ 527
Group revenues						
Recurring revenues	$ 2,923	$ 3,509	$ 3,721	$ 4,138	$ 4,829	$ 5,056
Transaction revenues	$ 3,113	$ 3,637	$ 3,571	$ 3,850	$ 4,450	$ 4,875
Group revenues (net of transaction fees)	$ 6,036	$ 7,146	$ 7,292	$ 7,988	$ 9,279	$ 9,931
Breakdown of revenues (%)						
Recurring revenues	48%	49%	51%	52%	52%	51%
Transaction revenues	52%	51%	49%	48%	48%	49%



THE CURIOUS COMPOUNDER

	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Revenues:							
Exchanges	$ 5,839	$ 5,878	$ 6,415	$ 6,355	$ 7,441	$ 8,120	7%
Fixed income and data services	1,810	1,883	2,092	2,231	2,298	2,419	6%
Mortgage technology	595	1,407	1,129	1,317	2,022	2,101	29%
Total Group revenues	**8,244**	**9,168**	**9,636**	**9,903**	**11,761**	**12,640**	9%
Transaction-based expenses:							
Section 31 fees	622	248	499	293	679	412	-8%
Cash liquidity payments, routing and clearing	1,586	1,774	1,845	1,622	1,803	2,297	8%
Total revenues, less transaction-based expenses	**6,036**	**7,146**	**7,292**	**7,988**	**9,279**	**9,931**	10%
Growth %	16%	18%	2%	10%	16%	7%	
Operating expenses:							
Compensation and benefits	1,188	1,462	1,407	1,595	1,909	1,963	11%
Professional services	144	159	131	123	154	158	2%
Acquisition-related transaction and integration costs	105	102	93	269	104	70	-8%
Technology and communication	549	666	683	734	848	870	10%
Rent and occupancy	81	84	83	92	111	88	2%
Selling, general and administrative	185	215	226	266	307	293	10%
Depreciation and amortization	751	1,009	1,031	1,215	1,537	1,560	16%
Total operating expenses	**3,003**	**3,697**	**3,654**	**4,294**	**4,970**	**5,002**	11%
Operating income	**3,033**	**3,449**	**3,638**	**3,694**	**4,309**	**4,929**	10%
Adjusted operating income by division (EBITA)							
Exchanges	2486	2655	2929	3241	3719	4050	
Fixed Income & Data Services	691	709	899	979	1026	1083	
Mortgage Technology	364	805	511	508	724	859	
Group Adjusted operating income	**3541**	**4169**	**4339**	**4728**	**5469**	**5992 #**	
Group Adjusted operating margin	**58.7%**	**58.3%**	**59.5%**	**59.2%**	**58.9%**	**60.3% #**	
Other income (expense), net	-267	2,249	-1,830	-800	-681	-583	17%
Income before income tax expense	**2,766**	**5,698**	**1,808**	**2,894**	**3,628**	**4,346**	9%
Income tax expense	658	1,629	310	456	826	976	8%
Tax rate (%)	24%	29%	17%	16%	23%	22%	
Net income	**$2,108**	**$4,069**	**$1,498**	**$2,438**	**$2,802**	**$3,370**	10%
Net income attributable to non-controlling interest	-19	-11	-52	-70	-48	-55	24%
Net income attributable to Intercontinental Exchar	**$2,089**	**$4,058**	**$1,446**	**$2,368**	**$2,754**	**$3,315**	10%
Adjusted EPS (Diluted)	$4.51	$5.15	$5.30	$5.62	$6.07	$6.95	9%
Adjusted for 5 for 1 share split							
Weighted average common shares outstanding:							
Basic	552	562	559	564	573	572	1%
Diluted	555	565	561	565	576	575	1%

IntercontinentalExchange, Inc. — Consolidated Statements of Cash Flows
(in millions)

Year Ended December 31,	2020	2021	2022	2023	2024	2025	5 Yr CAGR
Operating activities:							
Net income	**$2,108**	**$4,069**	**$1,498**	**$2,438**	**$2,802**	**$3,370**	10%
Adjustments to reconcile net income to net cash provided by operating activities:							
Depreciation and amortization	$751	$1,009	$1,031	$1,215	$1,537	$1,560	16%
Stock-based compensation	$139	$188	$155	$257	$231	$238	11%
Deferred taxes	$92	$537	($593)	($329)	($142)	$82	-2%
Fair value loss on Promissory Note				$160	-	-	
Gain on deconsolidation of Bakkt		($1,419)	-				
(Gain)/loss on investments	($55)	($1,261)	($41)	$4	$1	($55)	0%
Net (income)/losses from and impairment of unco	($71)	$42	$1,340	$122	$62	($79)	2%
Other	$46	$45	$41	$63	$55	$50	2%
Changes in assets and liabilities:							
Customer accounts receivable	($149)	($5)	$20	($71)	($149)	($62)	
Other current and non-current assets	($83)	($100)	($196)	($41)	($106)	$46	
Section 31 fees payable	$69	($150)	$166	($144)	$237	($316)	
Deferred revenue	$2	$34	($27)	($16)	$27	($44)	
Other current and non-current liabilities	$32	$134	$160	($116)	$54	($128)	
Total adjustments	**$773**	**($946)**	**$2,056**	**$1,104**	**$1,807**	**$1,292**	11%
Net cash provided by operating activities	**$2,881**	**$3,123**	**$3,554**	**$3,542**	**$4,609**	**$4,662**	10%
Investing activities:							
Capital expenditures	($207)	($179)	($225)	($190)	($406)	($373)	12%
Capitalized software development costs	($203)	($273)	($257)	($299)	($346)	($418)	16%
Purchases of invested margin deposits	($3,371)	($5,050)	($6,935)	($1,588)	($1,391)	($6,873)	
Proceeds from invested margin deposits	$2,840	$3,661	$7,483	$3,974	$1,097	$4,618	
Cash paid for acquisitions, net of cash acquired	($9,446)	($66)	($59)	($10,198)	($38)	($19)	
Proceeds from sale of Promissory Note					$75	-	
Purchases of equity and equity method investments	-	($117)	($73)	($8)	($29)	($1,029)	
Proceeds from the sale of equity investments	-	$1,237	$741	$187	-	-	
Proceeds from other investments, net	$4	$1	$2				
Purchases of restricted investments				($1,316)	($752)	($1,455)	
Proceeds from restricted investments				$641	$855	$1,286	
Other investing activities	$22	$1	$2	-	$14	$14	
Net cash used in investing activities	**($10,361)**	**($786)**	**$677**	**($8,797)**	**($921)**	**($4,249)**	-16%
Check: sum of lines above less reported total (roundi	-	*$1*	*$2*	-	-	-	
Financing activities:							
Proceeds from debt issuances	$9,606	-	$7,891	$2,400	$739	$1,234	
Repayments of debt	($2,004)	($1,246)	($2,705)	($2,286)	($1,600)	($2,500)	
Proceeds from/(redemption of) commercial paper, ne	$1,094	($1,393)	($1,012)	$1,954	($1,424)	$506	
Repurchases of common stock	($1,247)	($250)	($632)	-	-	($1,294)	
Dividends paid to stockholders	($669)	($747)	($853)	($955)	($1,039)	($1,105)	
Change in cash and cash equivalent margin deposits and guaranty funds liability	$19,256	$65,697	($4,493)	($65,396)	$3,463	($3,106)	
Payments relating to treasury shares for restricted stock tax payments / option exercises	($74)	($70)	($73)	($78)	($81)	($103)	
Other financing activities	$38	$35	$36	$16	$21	$34	
Net cash provided by/(used in) financing activities	**$26,000**	**$62,026**	**($1,841)**	**($64,345)**	**$79**	**($6,334)**	
Effect of exchange rate changes on cash, restricted ca	$8	($6)	($23)	$7	($14)	$32	
Net increase/(decrease) in cash, restricted cash an	**$18,528**	**$64,357**	**$2,367**	**($69,593)**	**$3,753**	**($5,889)**	
Cash, restricted cash and cash equiv. margin deposits	$65,091	**$83,619**	**$147,976**	**$150,343**	**$80,750**	**$84,503**	#
Cash, restricted cash and cash equiv. margin depc	**$83,619**	**$147,976**	**$150,343**	**$80,750**	**$84,503**	**$78,614**	
Free cashflow post capex	**$2,471**	**$2,671**	**$3,072**	**$3,053**	**$3,857**	**$3,871**	5 yr average
FCF conversion from Operating cashflow	86%	86%	86%	86%	84%	83%	85%

Sources

ICE Annual Reports / 10Ks

Inside the ICE House : One More Trip Around the World with ICE CEO Jeff Sprecher https://www.youtube.com/watch?v=mqVF-vHDQ6M

Jeff Sprecher / Shayne Coplan, Founder & CEO of Polymarket interview https://www.youtube.com/watch?v=MziZUN_Zvps&t=1s

CME-vs-CFTC lawsuit https://www.ft.com/content/b7a788de-0f31-4b31-992b-45ddf92ccdcb

Ice.com